

COURTESY OF SAILAS OTIENO

KENYATTA UNIVERSITY

**INSTITUTE OF OPEN
LEARNING**

**CAC: 100
FUNDAMENTAL OF ACCOUNTING 1**

C.K. NYAGA

CAC 100: FUNDAMENTALS OF ACCOUNTING 1

SUBJECT CONTENT

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INSTITUTE OF OPEN LEARNING
DEPARTMENT OF ACCOUNTING
CAC 100: FUNDAMENTALS OF ACCOUNTING 1

OBJECTIVES

1. To equip a student with the principles and concepts of preparing and keeping financial records.
2. To equip students with techniques to enable them prepare and interpret financial information.
3. The course seeks to build a solid foundation upon which student can rely upon as a building block for further advanced courses in Accounting and Finance.

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RECOMMENDED TEXTS

1. Frankwood “ Business Accounting 1”
2. Basis for Business Decisions; 10th Edition, Meigs & Meigs
3. N.D. Nzomo. Basic Accounting, concepts, principle and procedures incorporating Kenya, laws & Standards, Nairobi University Press
4. Saleemi N.A “ Financial Accounting 1”
5. Hermanson, Edwards and Maher “ Accounting Principles, 5th Edition, Vin Hoffman Press, U.S.A
6. Relevant International Accounting Standards

LESSON 1

INTRODUCTION TO ACCOUNTING

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OBJECTIVES

This lesson introduces you to Accounting showing clearly the broad accounting systems and the underlying accounting principles. At the end of the lesson you should be able to:-

- (i) Define accounting
- (ii) Understand the purpose of accounting
- (iii) Know the users and purpose of accounting information
- (iv) Know and understand the underlying accounting principles
- (v) Understand the career prospects of accountants

LESSION 1

Nature and Scope of Accounting

Accounting has often been called the “language of business” people in the business world i.e owners, managers, bankers, stockbrokers, attorneys, engineers, investors – use accounting terms and concepts to describe the events that make up the day-to-day existence of every business, large or small. Since a language is a man-made means of communication , it is natural that languages should change to meet the changing needs of society. Accounting too, is a man-made art, one in which changes and improvements are continually being made in the process of communicating business information.

1.1. Definition: Book Keeping

This is the analysis classification and recording of financial transactions in books of Account. Hence its merely concerned in making records of business transactions.

Accounting

Accounting is the process or art of recording classifying and summarizing financial information and interpreting the results thereof. This information is used in making economic decisions. The accounting information is financial data about business transactions expressed in monetary terms.

Or Accounting has been referred to as the process of identifying, measuring and communicating economic information to permit informed judgement and decisions by the users of information.

The distinction between Accounting and book-keeping. Book-keeping means the recording of transactions , the record making phase of accounting. To keep books is to record transactions, and a bookkeeper is one who records transactions either manually with pen and ink or with a book keeping machine. The work is often routine and primarily clerical in nature.

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Accounting system can be classified broadly into

- (i) Financial accounting
- (ii) Cost accounting
- (iii) Management accounting

Financial Accounting

Financial Accounting can be defined as the analysis classification and recording of financial transactions and the ascertainment of their effect on the performance and financial position of an organisation / business / firm / economic entry.

This gives general purpose financial information which describe financial resources, obligations and activities of an economic entity.

Management Accounting

Management Accounting involves the development and interpretation of accounting information which is intended to aid management in running the business. This gives specific financial information to meet the demands of the management.

Cost Accounting

This is the establishment of budgets, standard costs and actual costs of operations, processes, activities or products; and the analysis of variances, profitability or social use of funds.

Business Transactions

These are the economic activities of a business. Accountants classify these transactions into two types:

External transactions: (often called exchange transactions) are those involving economic events between two or more independent firms.

Internal transactions are those economic events that take place entirely within one firm.

- Transactions constitute inputs to accounting information system and it should be noted that before the effect of Transaction can be recorded however, they must be measured.

To be useful, accounting data must be expressed in terms of a common denominator.

So that the effect of transactions can be combined. Business transactions are therefore expressed in terms of a common measuring unit-money.

1.2. Users of Accounting Information

Accounting extends beyond the process of creating records and reports. The ultimate objective of accounting is the use of this information, its analysis and interpretation. Accountants are always concerned with the significance of the figures they have produced. They look for meaningful relationships between events and financial results they study the effect of various alternatives they search for significant trends that may throw some light on what will happen in future.

Interpretation and analysis are not the sole province of the accountant. If managers, investors and creditors are to make effective use of accounting information, they too must have some understanding of how the figures will be put together and what they mean. An

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important part of this understanding is to recognize clearly the limitations of accounting reports.

Purpose Of Accounting

Accounting information is useful to the following groups of people.

- (i) the shareholders who provide capital and carries the risk of the firm / business.
- (ii) Creditors who provide loans to the business.
- (iii) Government and government agencies provide security
- (iv) Public at large – financial analyst / economist / labour union / potential investors.
- (v) Management – who manage the business.

The above group of people use accounting information to make financial / economic decisions about the firm which includes.

- For the investors they are interested with the profitability of the firm to know that they are earning the required return. The profitability firm can be improved by using accounting as a tool of control where the unnecessary costs/expenses are checked and potential income generating venture / projects are under taken. The accounting information also helps the investors to decide where to invest their scarce resources.
- The creditors needs the accounting information so that they can be sure that they will receive back their money.
- For the government it has to regulate the activities of the business to be in line with the over all objective of the government. The government also imposes various type of tax. The accounting information (mostly financial accounting) is used as a base for tax returns. Note more often than not this information is reorganized or adjusted to confirm with income tax reporting requirements.
- Managers of business enterprises use the management (managerial) accounting information in setting the overall goals, evaluating the performance of departments and individuals deciding whether to introduce a new line of products etc – used a base for further or future planning. The financial information provided by an accounting system is needed by managerial decision makers to help them plan and control activities of the economic entity.

This means that the underlying purpose of Accounting is to provide financial information about an economic entity (business enterprise)

A system for creating accounting information

In order to provide up-to-date financial information about a business, it is necessary to create a systematic record of the daily business activity in terms of money. For example, goods and services are purchases and sold, credit is extended to customers, debts are incurred, and cash is which can be expressed in monetary terms, and must be entered in accounting records. The recording process may be performed in many ways: that is, by writing with pen or pencil, by printing with mechanical or electronic equipment, or by punching holes or making magnetic impressions on cards or tape.

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It should be noted that not all business events can be measured and described in monetary terms. As such we do not show in the accounting records the appointment of a new chief executive or the signing of a sale contract, except as these happenings in turn affect future business transactions. In addition to compiling a narrative record of events as they occur, we classify various transactions and events into related groups or categories. Classification enables us to reduce a mass of detail into compact and usable form. For example, grouping all transactions in which cash is received or paid out is a logical step in developing useful information about the cash position of a business enterprise.

To ensure the created accounting information is in a form which will be useful to the users of the information, we summarize the classified information into financial reports, called financial statements. These financial statements are concise, perhaps only three or four pages for a large business. They summarize the business transactions of a specific time period such as a month or a year. Financial statements show the financial position of the business at the time of the report and the operating results by which it arrived at this position.

These three steps we have described i.e recording, classifying, and summarizing- are the means of creating accounting information. Thus one part of accounting is a system for creating financial information.

Characteristics of Useful Information

- i) Relevance - should satisfy the need of the user and /or purpose intended.
- ii) Reliability – increased by being checked by an independent person like the auditor
- iii) Objectivity – free from personal bias -should be checked for subjectivity iv) Ability to understand / Under stability – presentation should be understood by the users or recipients.
- v) Comparability – year to year of the same company and with other companies i.e inter-period and intercompany comparison.
- vi) Realism - Accounts should show a true and fair view information should show economic realities.Its not necessary to give a precision which is not practical.
- vii) Consistency business should observe consistency in applying various methods and polies but changes in policies can be disclosed and their effect.
- viii) Timeless – up-to-date information is of more useful.
- ix) Economy of Presentation / Detail – too much or too summarized A/c – not good. Too detailed can obscure or hind some important factors – cause difficulties in understanding. Amount of detail should be that which is sufficient for the intended purpose.
- x) Completeness – a summarised picture of the companies activities is needed.
- xi) Accuracy – should be sufficiently accurate for the internal purpose. Information prepared according to correct principles that can be relied upon for the intended

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purpose. This may mean that a realistic speedily prepared estimate may be more useful than a more precise answer produced some time latter.

1.3. The Fundamental Accounting Concepts, Principles And Assumption (Gaap)

GAAP which means Generally accepted accounting principles constitute the ground roles for financial reporting. Accounting principles may also be termed as standards assumptions conventions or concepts. Accounting principles do not exist in nature but are developed considering the most important objective of financial reporting. Hence they vary from one country to another.

The broad concepts include:

1) The business or Accounting entity concept

If the transactions of a business are to be recorded, classified and summarized into financial statements the accountants must be able to identify clearly the boundaries of the unit being accounted for. Under the accounting entity concept the business is considered a separate entity distinguishable from its owners and from all other entities. Each entity is assumed to own its assets (resources) and incur its liabilities (obligations). The assets liabilities and activities of the business are kept completely separate from those of the owner of the business and from those of other businesses.

2) The going – concern assumption / continuity principle.

Financial statements are prepared on the assumption that the existing business will continue to operate into the future. Its assumed that the business will not be sold in the near future but will continue to use its resources in operating activities. For this reason therefore the current market value of the assets are of little importance to decision makers. In the event that management is planning the sale or liquidation of the business, the going concern assumption and the cost principle are set aside and financial statements are prepared on the basis of estimated sales or liquidation values. When this is the case the statement should identify clearly the basis upon which the values are determined.

3) The Cost Principle or Asset Valuation Principle

Resources of a business are recorded initially at their cost under the cost principle. Cost is determined by the exchange price agreed upon by the parties and is measured by the amount of cash to be given in exchange for resources received. If the consideration given is something other than cash, cost is measured by the fair (market) value of what is given or the fair value of the asset or service received whichever is more clearly evident. It is important therefore, to remember that the amount reported in financial statements do not show the amount that would be received if the assets were sold but the costs of the assets on the date that they were acquired.

4) Objective Principle

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The objectivity principle holds that accounting data should be reported on a factual basis ie free from personal bias. Cost of the resources acquired is determined objectively on the basis of the exchange price negotiated by the independent parties to the exchange. The recording of current market values require use of estimates, appraisals or opinions all of which are much more subjective. Users of accounting information should be given the most objective factual data available. In other words the transactions to be recorded should be at a arms length.

(5.) The Stable Shilling or Dollar Assumption

Under this principle or assumption changes in the purchasing power of money are ignored. As a result 1980 shilling is added to 1999 shilling as though all represent the same purchasing power. Unfortunately this is not, realistic when the general purchasing power of a shilling / dollar changes the value of money declines. Although this is recognised by accountants its ignored. As a result gains are reported on sale of assets where there has, infact ,been little or no gain in purchasing power.

(6) Time Period Principle / (periodicity Principle

The life of a business must be divided into a series of relatively short accounting period of equal length. This assists the users of accounting information who need reasonably current and comparable information-relating to prior accounting periods. The need for periodic reporting is one of the most challenging problems of accountants . The life of a business is usually divided into segments of a year or quarter which calls for various estimates such as :- useful life of depreciable assets, methods of depreciation to be used etc. The tentative nature of periodic measurements should be understood by those who rely on periodic accounting information.

(7) Revenue Recognition or The Realization Principle

Accountants should recognize revenue when it has been realized i.e.

- the earning process is essentially complete

- Objective evidence exists as to the amount of revenue earned.

Revenue should be recognized at the time goods are sold or services are rendered. NB.

Cash basis of accounting does not conform to GAAP.

(8) Matching Principle or Expenses reorganization

To measure the profitability of an economic activity we must consider not only the revenue earned but also all the expenses incurred in the effort to produce this revenue. The accountants thus try to match the revenue appearing in the income statement will all the expenses incurred in generating that revenue. The matching principle governs the timing of expense recognition in financial statements. This principle underlie such practises as:-

- depreciating plant assets

- Computation of cost of goods sold each period

- Amortization of cost of unexpired insurance policy

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-Recording revenue when earned but not received and expenses when incurred but not paid.

(9) Materiality Principle

Materiality refers to the relative importance of an item or an event. An item is “material” if knowledge of the item might reasonably influence the decisions of users of the financial statements. Accounts must ensure that all material items are properly reported in the financial statements. This should be based on cost-effectiveness e.g. tools waste paper basket etc-deferred benefits or future benefits but expensed in the period of purchase.

(10) Consistency Principle

This principle implies that particular accounting method once adopted will not be changed from period to period. This assists the users in interpreting changes in financial position and changes in net income. In case of changes full disclosure principle should be applied.

(11) Disclosure Principle

Adequate disclosure means that all material and relevant facts concerning financial position and the results of operation are communicated to the users. This can be accomplished either in the financial statement or in the notes accompanying the statements. This increases the usefulness of the statements and makes them less subjective to misinterpretation.

Example of information disclosed include

- A summary of the accounting methods used
- Dollar / shilling effect in the changes of these accounting methods during the current period.
- Any loss contingencies that may have a material effect upon the financial position of the organisation.
- Contractual provisions that may affect future cash flows eg terms and conditions of borrowing agreements commitments to buy or sell material amounts of assets.

(12) Conservatism

May not qualify as an accounting principle but implies that Accountant must be conservative in their estimates and opinions. They should base their estimates on sound logic and select those accounting methods which either overstate nor under state the facts. In case of alternatives should choose those that have the least favourable effect / situation.

13) Prudence

Holds that accountants have the duty of ensuring that people get the proper facts about a business. Assets should not be over valued and liabilities or obligations should not be under valued. Prudence concept means that the figure taken should understate profits rather than overstating the profits. In other words anticipate loss but not profit.

1.4. The Work of an Accountant

Accountants are employed in three main fields: In a public accounting, In private accounting, or in government

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Public Accounting

Public accountants are individuals who offer their professional services and those of their employees to the public for a fee, in much the same manner as a lawyer or a consulting engineer. This can be done in such as Auditing, Management Advisory services and tax services.

Auditing

The principal service offered by a public accountant is auditing. Banks commonly require an audit of the financial statements of a company applying for a suitable loan, with the audit being performed by a CPA who is not an employee of the audited concern but an independent professional person working for a fee. Companies whose securities are offered for sale to the public generally must also have such an audit before the securities may be sold. Thereafter, additional audits must be made periodically if the securities are to continue being traded.

The purpose of an audit is to increase credibility to a company's financial statements. In making the audit, the auditor carefully examines the company's statements and the accounting records from which they were prepared. In the examination, the auditor seeks to assure that the statements fairly reflect the company's financial position and operating results and were prepared in accordance with generally accepted accounting principles from records kept in accordance with such principles. Banks, investors, and others rely on the information in a company's financial statements in making loans, in granting credit, and buying and selling securities. They depend on the auditor to verify the dependability of the information the statements contain.

Management Advisory Services

In addition to auditing, accountants commonly offer management advisory services. An accountant gains from an audit an intimate knowledge of the audited company's accounting procedures and its financial position. Thus, the accountant is in an excellent position to offer constructive suggestions for improving the procedures and strengthening the position. Clients expect these suggestions as a useful audit by-product. They also commonly engage CPAs to conduct additional investigations for the purpose of determining ways in which their operations may be improved. Such investigations and the suggestions growing from them are known as management advisory services.

Management advisory services include the design, installation, and improvement of a client's general accounting system and any related information system it may have for determining and controlling costs. They also include the application of machine and computer to these systems, plus advice in financial planning, budgeting, forecasting, and inventory control.

Tax Services

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In this day of increasing complexity in income and other tax laws and continued high tax rates, few important business decisions are made without consideration being given to their tax effect. A CPA, through training and experience, is well qualified to render important service in this area. The service includes not only the preparation and filing of tax returns but also advice as to how transactions may be completed so as to incur the smallest tax.

Private Accounting

Accountants employed by a single enterprise are said to be in private accounting. A small business may employ only one accountant or it may depend upon the services of a public accountant and employ none. A large business, on the other hand, may have more than a hundred employees in its accounting department. They commonly work under the supervision of a chief accounting officer, commonly called the controller, who is often a CPA. The title controller results from the fact that one of the chief uses of accounting data is to control the operations of a business.

The one accountant of the small business and the accounting department of a large business do a variety of work, including general accounting, cost accounting, budgeting, and internal auditing.

General Accounting

General accounting has to do primarily with recording transactions, processing the recorded data, and preparing financial and other reports for the use of management, owners, creditors, and governmental agencies. The private accountant may design or help the public accountant design the system used in recording the transactions. He or she will also supervise the clerical or data processing staff in recording the transactions and preparing the reports.

Cost Accounting

The phase of accounting that has to do with collecting, determining and controlling costs, particularly costs of producing a given product or service, is called cost accounting. Knowledge of costs and controlling costs is vital to good management. Therefore, a large company may have a number of accountants engaged in this activity.

Budgeting

Planning business activities before they occur is called budgeting. The objective of budgeting is to provide management with an intelligent plan for future operations. Then, after the budget has been put into effect, it provides summaries and reports that can be used to compare actual accomplishments with the plan.

Internal Auditing

In addition to an annual audit by an independent firm of CPAs, many companies maintain a staff of internal auditors, who constantly check the records prepared and maintained in each department or company branch. It is their responsibility to make sure that established

accounting procedures and management directives are being followed throughout the company.

Government Accounting

Furnishing governmental services is a vast and complicated operation in which accounting is just as indispensable as in business. Elected and appointed officials must rely on data accumulated by means of accounting if they are to complete effectively their administrative duties. Accountants are responsible for the accumulation of these data. Accountants also check and audit millions of income, payroll, and sales tax returns that accompany tax payments upon which governmental units depend.

This means Accounting includes the design of accounting systems, preparation of financial statements, audits, studies, development of forecasts, income tax work, computer applications to accounting processes, and the analysis and interpretation of accounting information as an aid to making business decisions.

A person might become a reasonably proficient book-keeper in a few weeks or months but to become a professional accountant, however, requires several years of study and experience.

1.5 Accounting Equation and Statements

Accounting statements are the end products of the accounting process, but a good place to begin the study of accounting. They are also referred to as financial statements.

Financial statement

- Means of conveying to management and to interested outsiders a concise picture of the profitability and financial position of a business. Financial statements are set of accounting reports. The principal purpose of financial statement is to communicate to users (person receiving these reports) the effect of operating activities during a specific time and the financial position at the end of the period for a specific business.
- A set of financial statements consist of four related accounting reports summarizing
 - financial resources
 - obligations
 - profitability
 - cash transactions of a business

The type of financial statement most generally prepared are:-

- balance sheet
- income statement
- cash flow statements
- statement of owners equity

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(i) Balance Sheet

- The balance sheet reports the financial position of a business at a specific point in time.
- It is sometimes called statement of financial position. The financial position is reflected by the amount of business assets (resources owned), the amount of liabilities or debts owed and the amount of its owners equity (investment).

The title/header consist of

- The name of business
- The name of the statement "Balance Sheet"
- The date of the Balance sheet

The body of the Balance Sheet consist of:

- Assets, liabilities, and owners equity.

Example

West side cleaning shop
Balance Sheet
As at 31st December 2000

<u>Assets</u>		<u>Liabilities & Owners equity</u>	
		<u>Liabilities</u>	
Cash	19,500	Notes payable	18,000
Account Receivable	9,000	Accounts payable	12,000
Land	21,000	Total liabilities	30,000
Building	45,000		
Office Equipment	3,000	<u>Owners equity</u>	
Delivery equipments	<u>7,500</u>	Capital	<u>75,000</u>
	<u>105,000</u>		<u>105,000</u>

Assets

Assets are economic resources (cash and non-cash resources owned by a business. They may be tangible assets e.g land, building and equipment or intangible assets e.g legal right

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such as accounts receivable, patent rights or rights to use leased assets). Assets have economic value because they contain service benefits that can be used in future operations or sold to another entity.

Liabilities

Liabilities are debts owed by a business to outside parties (called creditors). Liabilities include such things as amount owed to suppliers for goods or services purchases on credit (accounts payable), amount borrowed from Banks or other lenders (notes payable), amount owed to employees for salaries and wages etc. Cancellation of liabilities requires either an outlay of assets (generally cash), or the performance of future services. Liabilities may also be thought of as creditors claim against the assets of the business.

Owners equity

Owners equity is the owners interest in the assets of the business. It may be thought of as the owners claim against these assets. The equity of the owner is the residual claim because the claim of the creditors usually comes first.

Increase in owners equity

The owners invests cash or other assets to get the business started. Whenever the owner of the business transfers cash or other assets to the business, the owner's equity increase. Two ways :

1. owner's investment
2. earnings from profitable operations of the business

Decrease in owner's equity

- In single proprietorship, the owner has right to withdraw cash or other assets from the business at any time. This can be through the Bank, or getting some company's equipment for personal use, or paying a personal debt using the business cash. Two ways:-

- (i) Withdrawal of cash or other assets by the owner.
- (ii) Losses from unprofitable operations of the business.

Accounting Equation (Balance Sheet Equation)

A balance sheet is so called because its two sides must always balance. The sum of the assets shown on the balance sheet must equal liabilities plus the equity of the owner or owners of the business. This equality may be expressed in equation form for a single proprietorship business as follows:

$$\text{Assets} = \text{Liabilities} + \text{Owner's equity}$$

When balance sheet equality is expressed in equation form, the resulting equation is called the balance sheet equation. Or the accounting equation, since all double entry accounting is based on it.

In other words the two sides are the same view of the business property. The list of assets show what resources the business own and the liabilities and owner's equity shows who/what supplied them (and how much each group supplied).

Effects of transactions on the Accounting Equation. A business transaction is an exchange of goods or services, and business transactions effect the elements of an accounting equation. However, regardless of what transactions a business completes, its accounting equation must remain in balance. Also, its assets always equal the combined claims of its creditors and its owner or owners.

This may be demonstrated with the transactions below:

Effect of business transactions upon the Balance Sheet

Assume that Robert started a business under the name Robert Real Estate Company and deposited Kshs. 60,000 under the name of the business.

Initial Balance Sheet

Robert Real Estate Company Balance Sheet As at 1st Sept 2000

<u>Assets</u>	<u>Owner's equity</u>
Cash.....60,000	Robert, capital 60,000

Purchase of an asset for cash

- 3rd Sep. purchase of land - Kshs 21,000
- (i) Cash decreased by the amount paid out
 - (ii) A new asset land – acquired

Robert Real Estate Company Balance Sheet As at 3rd Sept 2000

<u>Assets</u>	<u>Owner's Equity</u>
Cash 39,000	Robert, Capital <u>60,000</u>
Land <u>21,000</u>	

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60,000

60,000

Purchase of an asset and incurring of liability

Sept 5, an opportunity arose to buy from xyz company a complete office building which had to be removed to permit the construction of a freeway. A price of 36,000/= was agreed upon which involved the cost of moving the building and installing it upon Roberts Company Ltd. It could have costed 60,000/= to build. This was very fortunate purchase.

The terms provided were:-

- Immediate payment of 15000/= and payment of the Balance of 21,000/= within 90 days.

Effect

Cash decreased by 15,000 but a new asset, building was recorded in the amount of 36,000. Total assets were increased by 21,000 and total liabilities and owners equity was also increased by 21000/= as a result of recording 21000/= . Accounts payable as a liability.

Robert Real Estate Company

Balance Sheet

As at 5th Sept 2000

<u>Assets</u>		<u>Liabilities and Owner's equity</u>	
Cash	24000	<u>Liabilities</u>	
Land	21000	Accounts payable	21000
Building	<u>36000</u>	<u>Owner's Equity</u>	
	<u>81000</u>	Robert capital	<u>60,000</u>
			<u>81,000</u>

Sale of an asset

Sept 10: Sold the unused part of the lot to Carter's Drugstore for a price of 6000. Agreed that the whole amount to be paid in three months. By this transaction an new asset, A/C receivable was acquired but the Asset land was decreased by the same amount.- No charge in total assets.

Robert Real Estate Co.

Balance Sheet

As at Sept 10 2000

<u>Assets</u>		<u>Liabilities and Owner's equity</u>	
		<u>Liabilities</u>	
Cash	24000	Accounts payable	21000
Accounts Receivable	6000		
Land	15,000	<u>Owner's Equity</u>	
Building	Roberts <u>36,000</u> capital		<u>60,000</u>
	<u>81000</u>		<u>81000</u>

Purchase of an asset on credit

14th Sept purchased office furniture and equipment on credit from general equipment inc. for 5,400 – new asset and incurrence of liabilities.

Robert Real Estate Company Balance Sheet As at 14th Sept. 2000

<u>Assets</u>		<u>Liabilities & Owner's Equity</u>	
		<u>Liabilities</u>	
Cash	24000	A/C payable	26400
A/C Rec.	6000		
Office equipment	5400		
Land	15000	<u>Owner's Equity</u>	
Building	Capital, <u>36000</u> Robert		<u>60,000</u>
	<u>86,4000</u>		<u>864,000</u>

Collection of Accounts Receivable

Sept 20: Cash of Kshs. 1500 received from the drugstore. Increase cash and decrease A/C receivable .

Robert Real Estate Company Balance Sheet As at 20th Sept. 2000

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<u>Assets</u>		<u>Liabilities & Owner's Equity</u>	
Cash	25500	<u>Liabilities</u>	
A/C Rec.	4500	A/C payable	26400
Office Equip.	5400	<u>Owner's Equity</u>	
Land	15000	Capital, Roberts	<u>60,000</u>
Building	<u>36000</u>		
	<u>86400</u>		<u>86400</u>

Payments of a liability

On Sept 30 Robert paid 3,000 in cash to general equipment.

Robert Real Estate Company

Balance Sheet

As at 30th Sept. 2000

<u>Assets</u>		<u>Liabilities & Owner's Equity</u>	
Cash	22,500	<u>Liabilities</u>	
A/C Rec.	4,500	A/C payable	23400
Off. Equip.	5,400	<u>Owner's Equity</u>	
Land	15,000	Capital	<u>60,000</u>
Building	<u>36,000</u>		
	<u>83,400</u>		<u>83400</u>

Effect of business transactions upon the accounting equation

- A balance sheet is a detailed expression of the accounting equation.
- The Sept. transactions are summarized below and the effects Date:

Sept 1 Started a business by depositing Ksh. 60,000 in a Company Bank Account Sept

3 Purchased land for 21000/= cash.

Sept 5 Purchased a building at a price of 36,000/= paying 15,000/= cash and incurring a liability of 21,000/=

Sept 10 Sold part of land for a price of 6000/=, collectible within three months. Sept

14 Purchased office equipment on credit for 5,400/=

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Sept 20 Received 1500/= as partial collection of the 6000/= account receivable
 Sept 30 Paid 3000/= on the accounts payable

In the table below, each transaction is identified by date; its effect on the accounting equation and also the new balance of each item are shown. Each of the times labeled Balances contains the same items as the balance sheet previously illustrated for the particular date. The final line in the table corresponds to the amounts in the balance sheet at the end of September. Note that the equality of the two sides of the equation was maintained throughout the recording of the transactions.

EFFECTS OF TRANSACTIONS ON THE ACCOUNTING EQUATION

	ASSETS					LIABILITIES	CAPITAL
Date Sept	Cash	+A/c receivable	+Land	+Building	+Equipment	=A/c payable	+capital
1	60,000						+60,000
3	21000		+21000				
Bal	39000		21000				60,000
Sept 5	-15000			+36000		+21000	
Bal	24000		21000	36000		21000	60000
Sept 10	-	+6000	-6000				
Bal	24000	6000	15000	36000		21000	60000
Sept 14	-				+5400	+5400	
Bal	24000	6000	15000	36000	5400	26400	60000
Sept 28	+1500	-1500					
Bal	25500	+500	15000	36000	5400	26400	60000
Sept 30	-3000						
Bal	22500	500	15000	36000	5400	23400	60000

NB/ The Balance at every date is the same as the Balance Sheet prepared on the same date in the previous section.

The Income Statement

It shows whether or not the business achieved or failed to achieve its primary objective i.e earning a 'profit' or net income. A net income is earned when revenues exceed expenses,

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but a net loss is incurred if the expenses exceed the revenues. An income statement is prepared by listing the revenues earned during a period of time, listing the expenses incurred in earning the revenues, and subtracting the expenses from the revenues to determine if a net income or a net loss was incurred.

This means that the income statement indicates/reports the results of earnings activities for a specific time period, usually one year.

The heading of an income statement consist of: name of business, name of statement i.e income statement and the time period covered by the statement.

Below is specimen of an income statement showing the components.

Illustration 1-1

River load Ltd
Income statement
For the year ended December 31, 2000

	<u>Kshs</u>	<u>Kshs</u>
Revenues:		
Commissions earned		55,150
Property management fees		<u>1200</u>
Total revenues		56350
Operating expenses:		
Salaries expense	12800	
Rent expense	6000	
Utilities expense	915	
Telephone	760	
Advertising	<u>4310</u>	
Total operating expenses		<u>24785</u>
Net income		<u>31565</u>

Now we shall describe or explain each of the major components.

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Revenues

Revenues are increases in owners equity from the sale of goods or performance of services. They are measured by the amount of cash or other assets received. Although revenue often consist of cash, it may consist of any asset received such as customers promise to pay in the future (an account receivable) or the receipt of property from a customer. Regardless of type of asset, it represents revenue. It must reflect compensation for the sale of goods or the performance of services. Other types of revenue are – interest, dividends, received on shares owned and rent received.

Expenses

Expenses are decreases in owner's equity resulting from the cost incurred in order to earn revenue.

- Expenses are measured by the amount of assets consumed or the amount of liabilities incurred.
- They may be immediate cash payment such as wages and salaries or promise to pay cash in the future for services received such as advertising. In some cases cash may be paid out before the expense is incurred as for example payment for next years rent.

3. Statement of owner's equity

- Statement explaining certain changes in the amount of owner's equity (investment) in the business. In corporation this statement is replaced by statement of retained earnings.

4. Statement of Cash Flow

- Statement summarizing cash receipts and payments of the business over the same period covered by the income statements.

NB/ In addition financial statements include notes to the accounts which contain additional information useful to the interpretation of the statements.

KEY WORDS

- Booking Keeping
- Accounting
- Business transactions
- Financial statements

- GAAP
- Public accountant
- Private accountant
- Government accountant
- Balance sheet
- Assets
- Expenses
- Revenue
- Owner's equity
- Income statement
- Net income

Questions, Exercises and Problems Questions

1. Why is the knowledge of accounting useful to persons other than management of business entities?
2. Briefly explain the purpose of accounting.
3. Clearly distinguish internal and external business transactions.
4. Accounting system can be classified broadly into two main categories. Explain them showing clearly their scope of use.
5. Explain the system of creating accounting information stating clearly major sources of such information.
6. Explain briefly clearly the concept of business entity giving appropriate examples.
7. Accounting information provides a basis for decision making by various users. State three such decisions made by:
 - (i) Management
 - (ii) Creditors
 - (iii) Government
 - (iv) Public
7. Not all happenings of a business can be expressed in monetary terms although they may significantly affect the business. Name two examples of such happenings which may not be measured satisfactorily be recorded in books of account.
8. Clearly state the main functions of a public and private accountants.
9. Explain consistency as a characteristic of useful information and secondly as a accounting principle.
10. Discuss the need of generally accepted accounting principles. What factors determine the development of these principles.

EXERCISE

- 1.1 a Beta Company has total assets of \$256,000 and the owner's equity amounts to \$64,000. What is the amount of the liabilities?

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- b. The balance sheet of Border Inc. shows that the owner's equity is \$192,000: It is equal to two-third the amount to total assets. What is the amount of the liabilities?
- c. The assets of Joytech Company amounted to \$96,000 on December 31 of year 1, but increased to \$136,000 by December 31 of Year 2. During this same period, liabilities increased by \$20,000. The owner's equity at December 31 of Year 1 amounted to \$66,000. What was the amount of owner's equity at December 31 of Year 2? Explain the basis for your answer and support with the necessary calculations.

1.2 The items included in the balance sheet of Daily Company at December 31 2001 are listed below in random order. You are to prepare a balance sheet (including a complete heading). Arrange the assets in the sequence. You must compute the amount for Shah Daily, capital.

	\$
Land	36,000
Accounts payable	44,800
Accounts receivable	18,900
Shah Daily, Capital	?
Office equipment	3,400
Building	80,000
Cash	42,100
Notes payable	75,000

- 1.3 Indicate the effect of each of the following transactions upon the total assets of a business by use of the appropriate phrase: "increase total assets", "decrease total assets", "no change in total assets".
- (a) Investment of cash in the business by the owner.
 - (b) Collected an account receivable (c) Made payment of a liability.
 - (d) Purchase an computer desk on credit.
 - (e) Borrowed money from a bank
 - (f) Sold equipment on credit for a price equal to its cost.
 - (g) Sold equipment for cash at a price equal to its cost.
 - (h) Sold equipment for cash at a price below its cost.
 - (i) Sold equipment for cash at a price above its cost.
 - (j) Purchased a motor van at a price of \$7,000 terms \$1,000 cash and the balance to be paid in 30 equal monthly installments.
- 1.4 For each of the following, describe a transaction that will have the required affect of elements of the accounts equation.
- (a) Increase an asset and increase owner's equity (b) Increase an asset and increase a liability.
 - (c) Increase one asset and decrease another asset.

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- (d) Decrease an asset and decrease a liability.
- (e) Increase one asset, decrease another asset, and increase a liability.

1.5 Certain transactions of Kresty Company are listed below. For each transactions you are to determine the effect on total assets, total liabilities, and owner's equity. Prepare your answer in tabular form identifying each transactions by letter and using the symbols (+) for increase (-) for decrease , and (NC) for no change. An answer is provided for the first transaction to serve as an example. Note that some of the transactions concern the personal affairs of the owner, Joan Cresty rather than being strictly transactions of the business entity.

	Total Assets	Liabilities	Owner's Equity
	+	NC	+
a. Owner invested cash in the business			
b. Purchased office furniture on credit			
c. Purchased a motor vehicle truck for cash			
d. Owner withdrew cash from the business			
e. Paid a liability of the business			
f. Returned for credit some defective office furniture Which had been purchased on credit but not yet paid For			
g. Obtained a short term loan from the bank for business use			
h. Owner wrote gave a typewriter used in the business to His son as a birthday present.....			
Owner paid his daughter fees using business money.....			

1.6 List the following four column headings on a sheet of paper as follows:

Transaction	Total assets	Liabilities	Owner's Equity
-------------	--------------	-------------	----------------

On the first column identify each of the following transactions by number. Then indicate the effect of each transactions on the total assets liabilities and owner's equity by placing a plus sign (+) for an increase a minus sign (-) for a decrease or the letters (NC) for no change in the appropriate column.

- (1) Purchased office supplies on credit
- (2) Owner invested cash in the business
- (3) Purchased office equipment for cash
- (4) Collected an account receivable
- (5) owner withdrew cash from the business
- (6) Paid a supplier who had supplied goods on credit
- (7) Returned for credit some of the office equipment previously purchased on credit but not yet paid for.

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(8) Sold land for a price in excess of cost.

As an example, transaction (1) would be shown as follows:

Transaction	Total	Liabilities	Owner's Equity
	Assets		
(1)	+	+	NC

PROBLEMS

1.7 The items to be included in the balance sheet of Mwanzo Estate Ltd as at September 30, 2000 are listed below in random order. Prepare a balance sheet include a figure for the total liabilities and owners equity.

	\$		\$
Accounts Payable	26,000	Delivery truck	76,920
Accounts receivable	19,840	George Klein, capital	?
Land	89,200	Office Equipment	26,240
		Building	24,000
		Cash	10,008
Notes payable	30,200		

1.8 The transactions listed below occurred during the organization of sub expert service, a refrigeration repair business. You are to show the effects of business transactions upon the balance sheet by preparing a new and separate balance sheet for expert service at each of the four dates listed below. Each balance sheet should reflect all transactions completed to date.

- (1) On June 1 Dan Robert deposited \$68,000 cash in a bank account in the name of the new business, expert Service.
- (2) On June 5 land and a building were acquired at a cost of \$9,400 for the land and \$13,600 for the building. Full payment was made on this date.
- (3) On June 15, expert Service purchased tools and equipment to do repair work for a down payment of 31,440 cash and final payment of \$2,800 due in 30 days.
- (4) On June 30, expert Service bought a motor van at a cost of \$4,320. A cash 50% down payment was made with payment of the balance to be made within 60 days.
Also on this date the account payable incurred by the purchase of tools and equipment on June 5 paid in full.

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1.9 Five transactions of Bruno Company are summarized below in equation form, with each of the five transactions identified by a letter. For each of the transactions (a) through (e) you are to write a separate sentence explaining the nature of the transaction.

Owner's Equity					Assets		= Liabilities +
	Cash +	Accounts +	Land +	Building +	Office equipment	= Accounts + J. Winn Capital payable	
Balances	\$ 3,100	\$6,400	\$21,000	\$57,100	-0-	\$9,100	\$78,500
(a)	+ 1,500	-500					
Balances	\$ 4,600	4,900	21,000	57,100	-0-	9,100	78,500
(b)	-1,000	+1,000					
Balances	\$ 3,600	4,900	21,000	57,100	1,000	9,100	78,500
(c)	+ 4,000						+4,000
Balances	\$ 7,600	4,900	21,000	57,100	1,000	9,100	82,500
(d)					+1,600	+1,600	
Balances	\$ 7,600	4,900	21,000	57,100	2,600	10,700	82,500
(e)	-400				+2,400	+2,000	
Balances	\$ 7,200	4,900	21,000	57,000	5,000	12,700	82,500

1.10 After several years of experience with a practicing firm of certified public accountants, Jostone resigned from his position on September 1, 2001, in order to begin a public accounting practice of his own, named Jostone & Sons. The following events occurred during September, some of these relate to the business entity, Jostone & Co CPA, and other are personal in nature and do not affect the business entity.

Sept 1: Sold personal investments consisting of an apartment building and some IBM stock for a total of \$198,000 cash. Deposited \$80,000 of this cash in a bank account in the name of the practice Jostone & Co CPA.

Sept 2: Purchased land with a small office building suitable for his accounting practice. Total cost was \$290,000 of which \$50,000 was paid from the business bank account as a cash down payment. Jostone signed a note payable for the balance calling for payment in three years or less. The property valuer had indicated that the land had a current fair value 50% greater than the office building.(divide the total cost between land and office building.)

Sept 3: Purchased office equipment for cash \$5,200

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Sept 5: Signed an agreement to employ a college graduate as staff assistant at a monthly salary of \$1,000. The staff assistant was to report for work on October 1.

Sept 6: Johnstone purchased a dirt track motorcycle which he planned to use on weekend trips. He turned in an old motorcycle and paid a balance of \$800 in cash.

Sept 7: Returned a defective chair included in the September 3 purchase of office equipment for full credit of \$20. Received in exchange another model chair priced at \$ 185 and a cash refund of \$25.

Step 8: On Sunday while visiting a friend who was going out of business and entering military service, Johnstone had an opportunity to buy for \$600 cash some office supplies which had originally cost \$1,000. Used a personal check to pay for the supplies.

Sept 9: Johnstone brought to his office supplies purchased the previous day.

Required

- a. Prepare a list of those transactions which are personal in nature, do not affect the business entity and should not be included in the balance sheet of Johnstone & Sons

CPA

- b. Prepare a balance sheet for the business entity Johnstone & Sons CPA at September 9, 2001.
 - 1.11. Jane graduated from the University with a degree in a Business Administration. She decided to put in practice the skills acquire during the four-year programme.
 - Jan 2. Jane Invested Kshs. 100,000 in a business, she planned to start under the name Jane enterprises.
 - Jan 3. Purchased Equipment costing Kshs. 35,000/= from Furniture Ltd. paid Kshs 20,000/= cash and the balance to be paid within 30 days.
 - Jan 5. Performed services and was paid cash amounting to Kshs 5,000/=
 - Jan 15. Purchased a van for Kshs. 200,000 paid a deposit of Kshs 50,000/= and signed 1 year notes payable for the balance.
 - Jan 25. Performed services for credit customer for Kshs 7,000
 - Jan 30 Paid the Accounts payable to furniture Ltd. in full. Jan
 - 30 Paid rent Kshs 10,000/= for January

REQUIRED:

- (i) Journalize the above transactions.
- (ii) Explain three advantage of using a journal

LESION 2

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THE ACCOUNTING CYCLE

Objectives:

This lesson introduces you to the Accounting cycle showing clearly the broad accounting procedures followed every accounting period. At the end of the lesson you should be able to:-

- (i) Define accounting cycle
- (ii) Understand the purpose of various accounting record books
- (iii) Know the uses and procedure for recording and summarizing financial information i.e. journalizing, posting and extraction of a Trial balance.
- (iv) Understand the need to prepare adjusting entries (v) Understand and prepare the financial statements
- (vi) Prepare a worksheet

OVERVIEW OF ACCOUNTING CYCLE

We shall now consider how financial information is accumulated. The accounting cycle or process consists of procedures used to collect process, and report the effects of economic events that affect an entity during an accounting period. As the exhibit below shows, this process begins with collecting or capturing economic data and ends with reporting these data in the financial statements. Each step is described and illustrated below.

The accounting process consist of three major parts:-

- i) The recording of transactions during an accounting period.
- ii) The summarizing of information at the end of the period.
- iii) The preparation of financial statements.

The accounting cycle is a complete sequence of accounting procedures which are repeated in the same order during each accounting period.

Major steps in Accounting Cycle

- (i) Transactions occur and information is collected through use of source documents i.e collecting data about economic events
- (ii) Transactions are analysed on the basis of the source documents and are recorded in a journal, a process referred to as journalizing

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- (iii) Information is transferred (posted) from the Journal to Ledger accounts, a process referred to as posting
- (iv) A trial balance is prepared from the account balances in the ledger.
- (v) Adjusting, correcting and updating recorded data.
- (vi) Preparation of adjusted Trial Balance and summarizing the data in the form of financial statements.
- (vii) Closing the accounting records (nominal accounts) to summarize the operations of the accounting period.
- (viii) Preparation of post-closing T.B
- (ix) Recording and posting reversal adjusting entries to facilitate the recording process in the subsequent accounting period. (optional or if applicable).

The concepts presented in the pen-and-paper approach on the following pages apply equally well to most, if not all, computerised accounting processes. Any differences in application are due to the improved manner in which data can be processed on the computer.

Note:

- Steps 1-4 occur during the accounting period. Steps 5-10 occur at the end of the accounting period. Step II (optional) occurs at the beginning of the following accounting period. At this time, adjusting entries also must be recorded and posted of a worksheet is used.
- These steps are usually presented in a worksheet. (optionally)

Recording Changes in Financial Position

Accounting Cycle

During each fiscal period a sequence of accounting procedures called the **accounting cycle** is completed. The occurrence of a business transaction is the initial step in the accounting cycle, the end product is the firm's year-end financial statements.

Steps in accounting cycle

FORM OF INFORMATION

Source Documents

- Include:-
- Invoices (purchase and sales)
- Paying in slips
- Remittance advice
- Cheque book summaries
- Correspondences etc

2. Books of original entry:

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- Day books (sales, sales return, purchase, purchase returns)
- Cash book
- Petty cash book
- General Journal

3. Ledger Accounts: types

- Personal accounts
 - Real accounts
 - Impersonal accounts
 - Nominal accounts
- Types of Ledgers.
- Sales ledger
 - Purchases ledger
 - General ledger

4. Financial Statements

- Manufacturing A/C
- Trading profit and loss A/C
- Balance sheet
- Cash flow statement
- Statement of retained earnings (or owners equity)

We shall examine the procedure used by the accountant. Although journalizing is, primarily, the first step of record keeping we shall start with the ledger and latter deal with the journal, for a better understanding.

The Ledger

Each transaction recorded results in an increase or decrease in one or more assets, liabilities, owners equity, revenue or expenses. An **account** is a device used to provide a record of increases and decreases in each item that appear in a firms financial statements.

Thus as part of the accounting system, a firm will typically maintain an account for each kind of asset, liabilities, owners equity, revenue and expense item e.g account to record increases and decreases in cash, accounts receivable, accounts payable , capital etc.

Ledger is a collection of the entire set of accounts. It accumulates in one place all the information about changes in a specific asset, liability or owner's equity in a computerized system the ledger may consist of tracks of a tape or a floppy disk.

Each account has three (3) basic parts:-

1. Title that is descriptive of the nature of the items being recorded in the account.
2. The debit.

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3. The credit

This can be represented in two basic types of ledger accounts

- (i) T-Account
- (ii) Running balance

(i) T- Account

The T-Account has the basic three parts.

The account is normally called T-account because of its similarity to the letter “T”. Its format is:-

Accounts Title	
Debit side (Dr)	Credit side (Cr)

Debits and Credit Entries

An account is debited when an amount is entered on the left side and credited when an amount is entered on the right side.

- A debit is also called a Ctiange to the account.
- The difference between the credits and Debit is called the Balance or Account Balance.
- If the credits exceed the debits the account has a credit balance and if the debits exceeds the credit, the account has a debit balance.i.e

DR> CR♦ DR Balance
CR> DR♦ CR Balance

If we consider the example in lession i.e Roberts Example: Cash account can be shown as follows:

Receipt - Left side

Payments – right

CASH			
1/9	60,000	3/9	21,000
20/9	<u>1,500</u>	5/9	15,000
	61,500	30/9	<u>3,000</u>
			39,000

Since 61500 > 39000 the account has a debit balance of 22500/=i.e (61,500-39000) Where 61,500 is total debits and 39,000 is total credit.

Debit and Credit Rules

Each transaction affects at least two financial statement items, a system called **Double Entry Accounting**.

When accounts are used in accounting process each transaction must be analyzed to determine which accounts are affected and whether the affects are increases or decreases so as to determine whether they are debited or credited.

Whether a debit or credit is a decrease or increase to the account balance depends on whether the account is an asset, liability or owners equity. The following rules are used:-

Assets A/CLiabilities A/C

CAC 100 FUNDAMENTALS OF ACCOUNTING

Debit to	Credit to
decrease	Increase
+	

Debit	to	Credit	to
decrease		increase	
-		+	

In summary this means increases in asset are debited to asset accounts, consequently, decreases are

Owners equity A/c

Debit to	Credit to
Decrease-	increase +
credited.	

Expense A/C

Debit to	Credit to
increase+	decrease-

Revenue a/c	
Debit to decrease-	Credit to increase +

Example: Consider the following transaction which took place in the first week of October:

1. 1st Oct the proprietor starts the firm with £ 1000
2. 2nd Oct a van was bought for £ 275 cash
3. 3rd Oct fixtures bought for £ 115 on credit from shop fitters.
4. 4th Oct paid the amount owing in cash to shop fitters Ltd

Summary of the transactions in Ledger Accounts

Cash A/C		Capital A/C	
1/10	1000	1/10	1000
	2/10 275		
Fixtures A/C		Shop	
3/10	115	4/10	115
Van A/C		fitters A/C (Accts Payable)	
1/10	275	3/10	115

(ii) Running Balance form of a Ledger A/C

It has:

- **Date column** – Date of transaction which is not necessary the date the entry is made.
- **Explanation column** – description mostly of unusual items.
- **Ref.** (reference column- used to record the page no of the journal in which the transaction is recorded.
- Debit and credit columns
- **Balance column**- The new balance is entered each time the account is debited or credited.

ACCOUNT TITLE:

A/c No.

Date	Explanation	Ref	Dr.	Cr.	Balance

Once the Accounts balances are computed, it may be tedious to keep track of whether the balance is a debit or a credit. To overcome this, we consider the normal account balances.

Normal A/C Balance

The normal account balance is the side on which increases to the account are recorded. This can be summarized as follows:

<u>Account</u>	<u>Normal Balance</u> (side increases recorded)
Assets	Debit
Liability	Credit
Owners equity:	
Investment	Credit
Withdrawals	Debit
Revenues	Credit
Expenses	Debit

Account Balances which are not normal are usually specified as either DR or CR.

NB: A chart of accounts is a list of the account titles and numbers being used in a given business.

Ledger Accounts Commonly Used Include:-

1. Balance Sheet Accounts

Assets Accounts

- Cash -Notes receivable -Accounts receivable
- Prepaid expenses -Land -Buildings
- Equipments -Inventories/stock - Stock

Liabilities Accounts

- Notes payable -Accounts payable -Unearned revenues
- Long term loans -Other short term liabilities

Owners equity Accounts: - records owners interest in the firm. Four main Transactions affecting this account include:

- (i) Investment of assets in the firm by the owner
- (ii) Withdrawals of assets by the owner
- (iii) Earning of revenue
- (iv) Incurring of expenses to produce revenue

Owners equity= Investment – withdrawal + revenue earned- expenses incurred

2. Income Statement A/C

- Revenue a/c /- sales A/C
- Expense A/C
 - Salaries and wages
 - Rent
 - Electricity
 - Depreciation

Step 1 Collecting Data About Economic Events

The first step in the accounting cycle is to collect data about those economic events that will enter a company's accounting system. Data about economic events are collected from source documents. A source document provides evidence that an economic event has occurred. Some examples of source documents that provide verification about the occurrence of economic events are listed below:

Economic Event

Cash sales
Credit sales
Purchases of merchandise
Supplies; other assets
Purchase of labour services (e.g. salaries; wages)
Depreciation of bug-lived assets
Interest on savings accounts;
Service charges on checking accounts

Source Document

Cash register tapes
Sales invoices
purchase orders, purchase
invoices, freight bills
Time tickets, clock cards
Depreciation schedules
Monthly bank statements

Step 2 **JOURNALIZING**

In the typical manual accounting system, a transactions is analyzed and recorded in a book called a Journal, before the effect of the transaction are entered in the individual accounts in the ledger. The journal is a chronological (day-to-day) record of each business transaction. It is the initial recording of a transaction, hence referred to as Book of Original Entry. One method of recording transactions makes use of a single journal called a general journal.

Although transactions could be entered directly to the accounts in the ledger, there are several advantages of first entering transactions in a journal especially in a manual Accounting system which include:-

i) **More information/description**

A journal shows all information about a transaction in one place and also provides an explanation of the transaction. In a Journal debits and credits of a transaction are recorded/entered together but in a ledger the debits and credits are entered in various accounts in various pages. Where ledger has several pages/accounts becomes so difficult to locate the particulars of every transaction.

ii) **“Permanency” of records**

The Journal provides a chronological record of all events in the life of the business. It makes it easy to locate a transaction and its particulars however ancient it is.

iii) **Prevention of errors**

The use of Journal helps to prevent errors. If information was entered directly in the ledger, it would be very easy to make errors such as omitting the debit or the credit or entering the debts or the credit twice.

Categories of Journals:-

- General journal
- Special journals

General Journal is a “basic” Journal where all financial transactions are recorded.

Special Journals are used.

When large numbers of transactions of the same type occur, a firm establishes special journals to reduce the clerical work in recording and posting the transactions.

- e.g of special journals include:- - Sales day book
- Purchases day book - The cash book
 - Recording transactions in a journal is called Journalizing.

At this particular point, you should remember that and this will be illustrated using a general journal. The journal has the following: - Date Column: - To record the date of the transaction

- Accounts and explanation column
- Reference column
- Debit and credit columns General Journal Illustration

Consider the following:

1. A company made sales by cash of Shs. 15,000 on July 5 2000.
2. The company purchased office equipment worth 62,000 by paying cash 22,000 and issuing short term notes payable of Kshs 40,000.

General Journal

Page 10

Date	Accounts and explanation	Ref	Debit	Credit
2000 July 5	Cash A/C Sales A/C To record cash sales		15,000	15,000
10	Office equipment Cash Notes payable Being purchases of equipment for partly cash and partly by issue of short term notes payable		62,000	22,000 40,000

An entry with one credit and one debit is called a Simple Journal Entry. While one with more than one credit or debit is called Compound Journal Entry.

The Process of Journalising

1. The date that each transaction occurred is entered in the first two columns.
2. The title of the account to be debited is entered against the left margin of the accounts and explanation column.
3. The amount to be debited to the account identified is entered in the debit amount column on the same line as the account name.
4. The title of the account to be credited is entered on the line immediately below the account to be debited. It is indented to set it apart from the account to be debited.
5. The amount to be credited to the account identified is entered in the credit amount column on the same line as the account name.
6. An explanation of the transaction may be entered on the line immediately below the credit entry.
7. The posting reference shows the account number to which the Journals are posted.
8. A blank line is left after each entry to ensure that each Journal entry stands out clearly as a separate unit and improves the readability.

ILLUSTRATION 1

Refer to the Roberts illustration in Lesson 1 and prepare Journal Entries

NB: Robert is starting a business, hence the general ledger is page 1.

General Ledger		Page 1		
DATE	ACCOUNTS & EXPLANATIONS		DEBIT	Credit
1990 Sept 1	Cash Roberts Capital Invested cash in the business		60,000	60,000
3	Land Cash Purchased land for office Site and paid cash		21,000	21,000
5	Building Cash Accounts payable Purchased building partially in cash and the balance to be paid within 90 days		36,000	15,000 21,000
10	Accounts Receivable Land Sold the unused part of land at cost to drugs store within 3 months		6,000	6,000
14	Office equipment Accounts payable Purchased office equipment on credit from general equipments inc.		5400	5400
20	Cash Accounts receivable Collected part of A/C Receivable from drugstore		1500	1500
30	Accounts payable Cash Made partial payment of the liability to General Equipment inc.		3000	3000

Step 3: Posting

- The process of transferring the amounts entered in the Journal to the proper ledger accounts is called posting. Each amount listed in the debit column of the Journal is posted by entering it on the debit side of an account in the ledger and each amount listed in the credit side of the ledger account. The objective is to classify the effect

of transactions on each individual asset, liability, owner's equity, revenue and expense account.

- Posting is done periodically e.g end of day/week.

Steps involved in posting process:-

1. Locate in the ledger the account to be debited.
2. Enter the date the transaction occurred as shown in the Journal.
3. Enter the debit amount in the debit column of the ledger account.
4. Enter the account that was credited in the explanation column.
5. Reference the entry by inserting the Journal page in the reference column.
6. Compute the balance
7. Repeat Step 1 through 6 for the credit part of the entry.

Illustration 11

G. Powel started a business with 2.5 million in the Bank on 1st July. The following transactions were entered into (figures in)

- July 2 Bought office furniture by cheque shs. 150,000
3 Bought machinery sh. 750,000 on credit from Planners Ltd 5
Bought a motor van paying by cheque Shs. 600,000
- 8 Sold some of the office furniture (defective) to J. Walker & Sons for 60,000 on credit
15 Paid part of the amount owing to planers Ltd Sh. 350,000 by cheque
23 Received the amount due from J. Walker sh. 60,000 in cash
31 Bought more machinery by cheque shs. 28,000
31 Paid salaries Kshs 12,000 office secretary **Required:**

(a) Prepare Journal Entries to record the above transaction

(b) Post the Journal entries to appropriate accounts

© Prepare a Trial Balance

(Try and prepare Journal entries without first checking the solution).

Solution to Illustration 11

1. Journal Entries

		Accounts & Explanations	Ref	DR	CR.
1999 July	1	Bank A/C (Cash A/C) Capital A/C To record the start of business on July 1 & the owners (power) investment	L02 L30	2,500,000	2,500,000

	2	Furniture A/C Bank A/C Purchase of office furniture by cheque	L12 L02	150,000	150,000
	3	Machinery A/C Account payable Purchase of machinery on credit	L24 L20	750,000	750,000
	5	Motor van A/C Bank A/C Purchase of Motor by Cheque	46 L02	600,000	600,000
	8	Accounts Receivable A/C Furniture A/C Sale of defective furnitures on credit	L04 L12	60,000	60,000
	15	Accounts payable (Planners) Bank A/C Payment to a creditor	L20 L02	350,000	350,000
	23	Cash (Bank A/C) Accounts Receivable Receipt of cash from a debtor	C02 C04	60,000	60,000
	31	Machinery Bank A/C Purchase of machinery by cheque	L14 L02	280,000	280,000
	31	Salaries expenses Bank To record payment of salaries to the office secretary	L32 L02	12000	12000

To enable the referencing, you require the chart of accounts.

CHART OF ACCOUNTS

Bank Account (cash)	02
Accounts Receivable	04
Furniture A/C	12
Machinery A/C	14
Motor Van A/C	16
Accounts payable	20
Capital	30
Salaries and wages	32

GENERAL LEDGER

TITLE: Bank/cash A/C

A/C No: 02

DATE		EXPLANATION	RE F	DR	CR	BALANCE
1999 July	1	Capital Account	J1	2,500,000		2,500,000
	2	Furniture A/C	J1		150,000	2,350,000
	5	Motor van A/C	J1		600,000	1,750,000
	15	Accounts payable (planners)	J1		350,000	1,400,000
	23	Accounts Receivable	J1	60,000		1,460,000
	31	Machinery A/C	J1		280,000	1,180,000
	31	Salaries & Wages A/C	J1		12,000	1,168,000

TITLE: Accounts Receivable

A/C NO: 04

DATE		EXPLANATION	RE F	DR	CR	BALANCE
199- July	8	Furniture A/C	J1	60,000		60,000
	23	Bank A/C	J1		60,000	0

TITLE: Furniture A/C

A/C NO: 12

DATE		EXPLANATION	RE F	DR	CR	BALANCE
199- July	2	Bank A/C	J1	150,000		150,000
	8	A/C Receivable	J1		60,000	90,000

TITLE: Machinery A/C

A/C NO: 14

DATE		EXPLANATION	RE F	DR	CR	BALANCE
199- July	3	Accounts payable	J1	750,000		750,000
	31	Bank	J1	280,000		1030,000

TITLE: Motor Van A/C

A/C NO: 16

DATE		EXPLANATION	RE F	DR	CR	BALANCE
------	--	-------------	---------	----	----	---------

199- July	5	Bank A/C	J1	600,000		600,000

TITLE: Accounts payable

A/C NO: 20

DATE		EXPLANATION	RE F	DR	CR	BALANCE
199- July	3	Machinery A/C	J1		750,000	750,000
	15	Bank	J1	350,000		400,000

TITLE: Capital A/C

A/C NO: 30

DATE		EXPLANATION	RE F	DR	CR	BALANCE
199- July	1	Bank	J1		2,500,000	2,500,000

TITLE: salaries and wages A/C

A/C NO: 32

DATE		EXPLANATION	REF	DR	CR	BALANCE
199- July	1	Bank	J1	12,000		12,000

To answer part (c) you need first to cover step 4 of the accounting cycle.

STEP 4 The Trial Balance

Preparation Of A Trial Balance (Tb)

One aspect of a double-entry accounting system is that for every transaction there must be equal amounts of debit and credits recorded in the accounts. The equality of debits and credits posted to the ledger account is verified by preparing a list of all general ledger account in order in which they appear in the ledger with their current balances. The amount of accounts with debits balances are listed in one column and the amounts of accounts with credit balance are listed in the second column. The sum of the two columns should be equal. A Trial Balance may be prepared at any time to test the equality of the debits and credits in the ledger.

The specimen below should be preliminary guide to the form and construction of a Trial Balance.

SPECIMEN OF TRIAL BALANCE

TRIAL BALANCE AS AT 31ST MARCH 19.....

Serial No.	Name of Account	Dr.	Cr.
		Shs	shs
1	Capital A/c		18,000
2	Purchase A/c	2,500	
3	Account payable		8,000
4	Office Expenses A/c	1,200	
5	Insurance expenses A/c	2,400	
6	Rent A/c	10,500	
7	Salaries A/c	10,000	
8	Sale A/c		55,000
9	Cash at Bank	33,000	
10	Cash in hand	1,300	
11	Debtors	27,500	
12	Creditors		8,400
		-----	-----
		89,400	89,400
		=====	=====

From the above specimen, one will recognise that a Trial Balance is in a tabular form similar to the ruling of a Journal and, indeed, in practice a Journal is used for the representation of a Trial Balance. One should note that the Date Column is dispensed with as the statement is strictly prepared as a particular date; however the space is used for recording the Ledger page or serial number of the account from where balance is extracted and this is important for easy reference. The title of the account is written in the “Name of Account” column and the respective balances, i.e. Debit balances or Credit balances are written in the appropriate columns.

CONSTRUCITON OF A TRIAL BALANCE:

The construction of the trial Balance is bound to present some difficulty and you are advised to revise how accounts are balanced in the Ledger noting especially their normal balances. For this section, it is sufficient to note that in the Ledger there are three types of Accounts namely the Real, Nominal and Personal Accounts. These Accounts are balanced at the end

of the accounting period either by bringing down the balances or transferring the balances to other accounts or in the case of personal accounts whose two sides are equal by merely ruling off. The important points to bear in mind are that Real Accounts extend to more than one period;

Nominal Accounts are generally restricted to one period and include operational expenses or incidental gain. Personal Accounts can generally be of one period or extend to more than one period. Thus, the balances of Real Accounts are brought down as they are to appear in the next accounting period; the balances of Nominal Accounts are closed or transferred to income Summary account. Personal Accounts if they are fully paid or are equal on both sides are balanced and then the balance brought down.

A Trial Balance can be constructed in two ways (1) by means of totals (2) by means of balances.

The first method is seldom used these days as it is laborious and clumsy. The modern method of preparing the Trial Balance is to take out the balances of accounts ignoring altogether those accounts in which the amounts on the one side corresponds with amounts on the other side.

Constructing the Trial Balance by means of balances can be effected in two ways; either by asking one to extract the balance from the Ledger and tabulate them accordingly or tabulate the balances accordingly from a list of balances already extracted from the Ledger. Thus, in the latter case, the items have to be sorted into debits and credits, the totals of which must agree. The procedure is not so simple as it looks at first sight and one should familiarise oneself with the rules as discussed the previous.

Refer to illustration 1 and prepare a trial balance. Extract the balances from the ledger accounts. Compare your solution with the one below

TRIAL BALANCE
AS AT 31ST MARCH 199.....

Serial No.	Name of Account	Dr.	Cr.
		Shs	Shs
1	Bank/Cash A/c	1,168,000	
2	Furniture	90,000	
3	Machinery	1,030,000	
4	Motor Van A/c	600,000	
5	Account payable		400,000
6	Capital A/c		2,500,000
7	Salaries and Wages	12,000	
		-----	-----
		2,900,000	2,900,000

		=====	=====
--	--	-------	-------

USES OF TRIAL BALANCE

Trial balance provides proof that the ledger is in Balance. If it balances it gives the assurance that

1. Equal debits and credits have been recorded for all transactions
2. The debit and credit balance of each account has been correctly computed
3. The addition of the account balances in the trial balances has been correctly performed.

If the debit and the credit totals of the TB do not agree, it means one or more errors has been made. Typical errors include:-

- (i) the entering of credit as debit and viceversa
- (ii) Arithmetic mistake in balancing accounts
- (iii) Clerical error in copying account balances into the trial balance eg in stead of writing 87,000 one writes 78,000
- (iv) Errors of principle listing the debit balances in the credit side of the Trial balance and vice versa.
- (v) Errors of addition in the trial balance or subsidiary books. (vi) Omission of a balance of any account in the trial balance.

LOCATING ERRORS

The lack of balance may be a result of combination of errors. There is no single technique, which will give the best results every time, but the following procedure done in sequence will often save considerable time and effort in locating errors.

1. Prove the addition of the trial balance columns by adding these columns in the opposite direction from that previously followed.
2. If the error doesn't lie in addition, determine the actual error (difference) by which the schedule is out of the balance.
 - Rule of division by 9. If the difference is division by 9 it implies that it's a transposition error or slide error e.g. cash account has a balance sh. 4,3385 but copied as sh. 4,835. The resulting error is 450/= all transposition errors are divisible by 9.
 - Slide error or incorrect placement of a decimal e.g. Shs. 408.75 copied as 40875/= the discrepancy will also be divisible by 9
 - Check for an entry with half the error or (discrepancy) – where a debit was entered as a credit.
 - Check for the account with the exact discrepancy and determine the corresponding entry (either debit or credit) was entered.
3. Compare the amounts in the trial balance with the balances in the ledger check that the ledger balances are included in the correct column of the trial balance.

4. Recomputed the balance of each ledger account.
5. Trace all postings from the journal to the ledger accounts.

LIMITATION OF TRIAL BALANCE

A TB can still balance even when some Errors have been committed.

- If for example a purchase of furniture was erroneously recorded by debiting the land account instead of furniture A/C. The T.B would still balance.
 - Also a complete omission of a transaction. The error would not be disclosed by the T.B.
- However, trial balance acts as the stepping for financial statements e.g. balance sheet.

ERRORS THAT A TRIAL BALANCE DOES NOT REVEAL

1. Errors of Omission – a transaction is completely omitted from the books.
2. Errors of Commission – this type of error is where the correct amount is entered but in the wrong persons account.
3. Errors of Principle – where an item is entered in the wrong class of account e.g. if an asset such as motor van is debited to an expenses account such as motor expenses account.
4. Compensating errors – where errors cancel out each other e.g. sales and purchases being overstated by the same amount.
5. Error of original entry – where the original figure entered is incorrect, yet double entry is still observed using this incorrect figure. E.g. sales of 98,000/= entered as 89,000/= in both sales A/c and personal account.
6. Complete Reversal of Entries – where the correct accounts are used but each item is shown on the wrong side of the account e.g. sales account debited and personal account credited instead of vice versa.

SUSPENSE ACCOUNTS

Accountants should try as much as possible to trace the errors and correct them. Where this effort is futile the trial Balance totals are made to agree or balance by inserting the amount of the difference between the credits and debits in a suspense account.

Illustration

Trial balance as at 31 Dec 2000

	Dr	Cr
Total after all the Accounts have been listed	154,740	154,600
Suspense account.		<u>140</u>
	<u>154,740</u>	<u>154,740</u>

SUSPENSE ACCOUNT

DR	CR
	31/12/2000 Difference per T.B 140

Where the financial statement have to be prepared before the error is located the suspense Account Balance (if a credit balance) is added to the liabilities and Equity side of the balance sheet. If the balance is a debit it would be added to the assets in the balance sheets.

NB whenever the error is discovered it should be corrected by an appropriate journal entry.

EFFECT OF ERRORS ON REPORTED PROFITS.

Errors discovered at a latter date affect the previous period statements when the error was committed but undetected.

Illustration

Assume that the trading & Loss A/c for the year 2000 was as follows

	\$	\$
Sales		100,000
Cost of sales		
Opening stock	5,000	
Add Purchases	<u>61,000</u>	
Goods Available for sale	66,000	
Less: Closing stock	<u>7,500</u>	
Cost of goods sold		<u>58,500</u>
Gross profit		41,500
Add; Discount received		<u>2,800</u>
		44,300
Expenses		
Salaries and wages	14,000	
Discount Allowed	1,600	
Rent expense	2,500	
Telephone	500	

Depreciation	2,400	
Total expense		<u>21,000</u>
Net Profit		<u>23,300</u>

BALANCE SHEET

As at 31st Dec. 2000

Fixed Costs:

Fixtures		45,000
Less Accumulated Depreciation		<u>12,000</u>
Net fixed asset		33,000

Current Assets

Cash in hand	1,500	
Cash at bank	60,000	
Stock	7,500	
Debtors	<u>4,500</u>	
Total current assets	73,500	

Current Liabilities

Rent payable	200	
Creditors	<u>3,500</u>	<u>3,700</u>
Net current Assets		69,800
Suspense		<u>5,000</u>
Net assets		<u>74,800</u>

Financed by:

Capital:

Balance as 1/1/2000	60,000
Add Net profit	23,300

Less; Drawing	<u>8,500</u>
	<u>74,800</u>

The following errors were discovered in 2002 but relate to the year 2001.

- (1) Sales under cast by \$500
- (2) Salaries and wages over stated by \$ 1,500
- (3) Cash payment to a creditor entered in the cash book only \$ 3,000.
- (4) Complete commission of drawing by cheque \$ 450.
- (5) A purchase of \$ 7,650 was entered in the book as \$ 6,750 both credit and debit.
- (6) Discount received over cast \$1,000

REQUIRED

- (1) For each of the above errors show the effect in the net profit and prepare the corrected profit and loss account.
- (2) Show the suspense account after errors are corrected.

solution

Statement of corrected Net profit for the year ended 31 Dec.2000

Net profits for the accounts		23,300
Under cost of sales (1)	500	
Add: over cast of salaries and wages (2)	<u>1,500</u>	<u>2,000</u>
		25,300

Less Discount received overcast 1,000 Purchase under stated 900 1,900 Corrected
Net Profit 24,400

NB Errors not affecting the net profit:

- (3) Creditors were overstated in the balance sheet.
- (4) Bank balance in the balance sheet is overstated and the drawing account is understated.

The corrected suspense A/c appears below suspense A/c

31/12/2000 difference in T.B	5,00	31/12/2000 Salaries & wages	1,500
31/12/200 Sales	<u>500</u>	31/12/2000 Discount Received	1,000
		31/12/2000 Creditors	<u>3,000</u>

5,500

5,500

NB Errors No. 4 and 5 are not corrected using a suspense account as they do not make the Trial Balance to be out of balance

ILLUSTRATION III

This illustration helps to understand the practice the accounting cycle procedures. Try it before checking the solution

The following transactions were recorded in the book of ABC company limited in the first month of operation.

JUNE

- 1 Mr. A deposited Shs. 600,000 cash in the Bank for the real estate business.
- 1 An agreement for the firm to manage on apartment complex for a monthly fee of Shs. 400 to be paid on the fifth day of the following month.
- 1 Purchase land and office building for Shs.72,000 the terms of the agreement provided for a cash payment of Shs. 120,000 the remainder to be financed with a 20 year mortgage bearing interest at 12% per year. The purchase price is allocated Shs. 100,000 to land and Shs. 620,000 to building.
- 3 Cash payment of Shs. 96,000 was made for a 24 month fire and business liability insurance policy.
- 5 .Purchased office supplies for the amount of 6,200 on credit.
- 5 Purchase office furniture and equipment for a total price of 96,000 paid 50,000 in cash with the balance due in 60-days.
- 5 Hired two sales agents and an office secretary
- 6 Paid Sh 1,200 for radio commercial aired on June 3rd and 4th .
- 15 Sold a residence that had been listed with the firm. A commission of Shs. 42,000 was earned on the sale to be received when loans closes.
- 22 Paid salaries and wages for the two weeks, 18,000/= cash.
- 23 He performed an appraisal and was paid Ksh. 2,500 cash 23 The owner withdrawal Ksh 6,000 cash for personal use 27 Paid for the office supplies purchase on credit.
- 29 Received Ksh.2,800 for an appraisal to be performed in July.
- 30 Paid telephone bill Kshs 7,200 cash
- 30 The loan closed the commission was received.

CHART OF ACCOUNTS

Cash/bank	001	Office supplies exp.	076
Account Receivable	005	Depreciation Exp.	078
Land	010	Acc Dep. Bldg	056

COURTESY OF BEE BRIGHTON.O.

0705072066

Building	012	Furniture	058
Note Payable	032	Insurance Exp.	080
Prepaid insurance	008	Interest Exp.	082
Office Supplies	006	interest payable	036
Accounts payable	030	Unearned appraisal fees	054
Office equipment	014	Advertising Exp.	070
Commission Revenue	060	Salaries & wages	072
Appraisal fees	062	Drawing A/c	052
Telephone Exp.	074	Capital A/c	050

REQUIRED

a)

(i) Journalize the June Transactions (ii) Post to a running balance ledger accounts (iii) Prepare a trial balance.

(b) Assume monthly financial statements were to be prepared.

- (i) prepare adjusting journal entries
- (ii) post the adjustment
- (iii) prepare adjusted trial balance
- (iv) prepare a balance sheet as at 31st June and an income statement.

SOLUTION : ILLUSTRATION III

Journal Entries:

DATE	ACCOUNT & EXPLAINATIO	REF	DR	CR
JUNE 1	Cash A/c Capital A/c To record cash invested by the owner	L/001 L/050	60,000	60,000
1	Land A/c Building A/c Cash A/c Notes payable A/c Purchase of land and building party in cash and party by a 20-year mortgage beginning 12% interest.	L/010 L/012 L/001 L/032	100,000 620,000	120,000 600,000
3	Prepaid insurance A/c Cash Payment of a 24-month insurance fire and business liability insurance policy.	L/008 L/001	9,600	9,600
5	Office supplies A/c Accounts payments To record purchase of office supplies on credit	L/026 L/030	6,200	6,200
5	Office equipment Cash Accounts payable Purchase of furniture and equipment partly in cash and balance to be paid in 60 –days.	L/014 L/001 L/030	96,000	50,000 46,000
6	Advertising Exp. A/c Cash A/c Payment for radio commercial aired on 3rd and 4th of June	L/070 L/001	1,200	1,200
15	Accounts receivable A/c Commission Revenue To read commission earned to be received when the loan is closed.	L/005 L/060	42,000	42,000
22	Salaries and wages A/c Cash Payment of two weeks salaries and wages.	L/072 L/001	18,000	18,000
23	Cash Appraisal fee revenue A/c To record appraisal fee received.	L/001 L/062	2,500	2,500

23	Drawing A/c Cash Money withdrawn for personal use by the owner.	L/052 L/001	6,000	6,000
27	Accounts payable Cash Paid for the office supplies purchased on credit.	L/030 L/001	6,200	6,200
29	Cash Un earned appraisal fees To record money received for an appraisal to be performed in July.	L/001 L/054	2,800	2,800
30	Telephone expenses Cash Payment of telephone bill.	L/074 L/001	7,200	7,200
30	Cash A/c Receivable Receipt of commission earned on June 15	L/001 L/005	42,000	42,000

NOTE:

1. The transaction of June 1 of signing an agreement does not create a recordable asset or revenue and therefore is not given accounting recognition.
2. The transaction of June 5 of hiring of employee is not given accounting recognition since there are no effects at this time on the firm's accounting equation.

TITLE: CASH

A/C No.001

June	Date	Explanation	Ref	Dr	Cr.	Balance
	1	Capital A/c	J1	600,000		600,000
	1	Land & building	J1		120,000	480,000
	3	Pre paid insurance	J1		9,600	470,000
	5	Office equipment	J1		50,000	420,000
	6	Advertising Exp.			1,200	419,200
	22	Salaries and wages			18,000	401,200
	23	Appraisal fee revenue		2,500		403,700
	27	Drawing A/c			6,000	39,1500
	29	Unearned appraisal fees		2,800		391,500
	30	Telephone Exp			7,200	387,100
	30	A/c receivable		42,000		429,100

TITLE: LAND

A/c No. 010

June	Date	Explanation	Ref	Dr	Cr.	Balance
	1	Cash /note payable		100,000		100,000

TITLE: ACCOUNTS RECIEVABLE

A/c No. 005

June	Date	Explanation	Ref	Dr	Cr.	Balance
	15	Commission Rev.	J1	42,000		42,000
	30	Cash			42,000	

TITLE: ACCOUNTS PAYABLE

A/c No. 030

June	Date	Explanation	Ref	Dr	Cr.	Balance
	5	Off. Supplies A/c			6,200	6,200
	5	Off Equipment			46,000	52,200
	27	Cash	44	6,200		46,000

TITLE: NOTES PAYABLE A/c

A/c No. 032

June	Date	Explanation	Ref	Dr	Cr.	Balance
	1	Land & building	44		600,000	600,000

TITLE: CAPITAL A/C

A/c No. 050

June	Date	Explanation	Ref	Dr	Cr.	Balance
	1	Cash A/c	44		600,000	600,000

TITLE: BUILDING

A/c No.012

June	Date	Explanation	Ref	Dr	Cr.	Balance
	1	Cash/Note payable	43	620,000		620,000

TITLE: PREPAID INSURANCE

A/c No 008

June	Date	Explanation	Ref	Dr	Cr.	Balance
	3	Cash		9,600		9,600

TITLE:OFFICE SUPPLIES A/C

A/c No. 006

June	Date	Explanation	Ref	Dr	Cr.	Balance
	5	A/c payable	43	6,200		6,200

TITLE: OFFICE EQUIPMENT

A/c No. 014

June	Date	Explanation	Ref	Dr	Cr.	Balance
	5	Cash A/c payable	43	96,000		96,000

ADVERTISING EXPENSE

A/c No. 070

June	Date	Explanation	Ref	Dr	Cr.	Balance
	6	Cash A/c	44	1,200		1,200

COMMISSION REVENUE

A/c No 060

June	Date	Explanation	Ref	Dr	Cr.	Balance
	15	A/C Receivable	44		42,000	42,000

SALES AND WAGES

A/c No. 072

June	Date	Explanation	Ref	Dr	Cr.	Balance
	22	Cash	44	18,000		18,000

APPRAISAL FEES

A/c No. 062

June	Date	Explanation	Ref	Dr	Cr.	Balance
	23	Cash	44		2,500	2,500

DRAWINGS A/C

A/c No.052

June	Date	Explanation	Ref	Dr	Cr.	Balance
	23	Cash	44	6,000		6,000

UNEARNED REVENUE

A/c No.054

June	Date	Explanation	Ref	Dr	Cr.	Balance
	29	Cash	44		2,800	2,800

TELEPHONE EXPENSE

A/c No.074

June	Date	Explanation	Ref	Dr	Cr.	Balance
	30	Cash	44	7,200		7,200

A COMPANY LIMITED
TRIAL BALANCE

AS AT JUNE 30TH 19 ---

ACCOUNT NAME	DR	CR
	Kshs.	Kshs.
Cash	429,100	
Land	100,000	
Accounts Payable		46,000
Notes Payable		600,000
Capital A/C		600,000
BuildingPre Paid Insurance	620,000	
Office Supplies A/C	9,600	
Office Equipment	6,200	
Advertising Expenses	96,000	
Commission Revenue	1,200	
Salaries And Wages		42,000
Appraisal Fees	18,000	
Drawing Account	6,000	2,500
Unearned Revenue		
Telephone	7,200	2,800
	<u>1,293,300</u>	<u>1,293,300</u>

STEP 5 Adjusting Accounts And Preparing Financial Statements

Many transactions recorded during a period affect the current periods financial statements as well as those prepared in future periods for example; The cost of a 24 month insurance policy purchased in the current period should be allocated as an expense to all accounting periods receiving the protection.

There are also other events such as the increase in interest revenue earned on notes receivable which are often recorded at the end of the current period. This as part of the accounting cycle, the accounts an source documents are analysed and entries made to adjust the accounts before the financial statements are prepared. These entries are called adjusting entries.

The adjusting entries are recorded to the general journal and posted to the ledger. A trial balance called an adjusted trial balance is then drawn from the general ledger to varify the equality of debits and credits the financial statements are then prepared from the adjusted trial balance. Therefore the other remaining steps in the accounting cycle are:

- (a) recording adjusting entries.
- (b) Preparation of an adjusted trial balance (c) Preparation of financial statements.

(d) Recording closing entries

CLASSIFICATION OF ADJUSTING ENTRIES

Adjusting entries are classified into four general categories.

1. Entries to apportion recorded costs : A cost that will benefit more than one accounting period. Initially recorded by debiting on asset account. Adjustments are made to allocate a portion of the assets cost to expense e.g. building.
2. Entries to apportion unearned revenue : where advance collection is done for services to be rendered in future accounting periods. In the period in which the services are rendered an adjusting entry is made to record the portion of the revenue earned during the period.
3. Entries to record unrecorded expenses :- Incurrence of an expense in current accounting period yet no bill received hence payment will be done in a future period.
4. Entries to record unrecorded revenue:- Revenue earned but not yet billed to customers or recorded in accounting records.

In determining whether an adjusting entry is needed the accountant examines the appropriate source document e.g. insurance policy or the billing from the insurance company. The account balances listed in the trial balance are examined to compute the amount of the adjustment needed.

ILLUSTRATION III Continued.

Consider the A limited trial balance. Such a trial balance is called unadjusted trial balance because it is prepared from the general ledger before the adjusting entries are recorded.

Assume that monthly financial statements are to be prepared and therefore monthly adjusting entries are required.

1. Prepaid Expenses

Prepaid insurance to entered June 3 covers a period of 24 months. Monthly insurance expenses = $9600/24 = 400$

Prepaid Insurance		Insurance exp	
Bal B/f	9,600	30/6 insurance Exp.	400
		30/6 Prepaid	400

2. Office Supplies Inventory (entered June 5)

The cost of unused office supplies is report as an asset in the balance sheet. As the office supplies are used their cost is transferred to an expense account. The recognition of the expenses is normally deferred until the end of the accounting period, (in a manual Accounting Systems).

Assume that the cost of supplies that A ltd had on hand at the end of June was Shs 5,400. The cost of supplies used would be Shs. 800 i.e. (6,200-5,400)

30/6 office supplies Expense 800
 office supplies A/C 800
To record supplies used for the month

Supplies Expense		Supplies a/c	
30/6	800	30/6 bal. 6,200	30/6 800

Journal Entry

June 30 Insurance Expenses 400
 Prepaid Insurance 400
 Being adjusting entry
 For insurance expense

When this entry is posted to the appropriate ledger account, the accounts will be as shown below.

3. Depreciation Of Equipment And Building

To provide proper matching of revenue with expenses the cost of each asset less its estimated residual value is allocated as an expense in the accounting period in which the asset is expected to be used to produce revenue.

The residual value of plant asset is its estimated value at the end of its useful life. The amount of time that the asset is expected to be used is called its estimated useful life. The position of the assets cost assigned to expense is referred to as depreciation. In making the adjusting entries for depreciation a separate account call accumulated depreciation is credited for the cost associated with the period. This is done instead of making a direct credit to the asset account.

The balance in the accumulated depreciation is the portion of the cost that has been assigned to expense since the time the asset purchased.

The accumulated depreciation account is an example of a contra account.

A contra account is reported as an off set to or deduction from a related account.

In our illustration let assume that the building has a useful life of 25 years at which time is expected to have a residual value of Kshs 20,000 and the office equipment has a eight- year estimated useful life and a zero redual value at the end of eight years. There are various methods that can be used to calculate depreciation. At this point we shall use straight line method and the other methods will be covered in the next lesson. Straight line methods allocate equal depreciation expensed period. The monthly depreciation assuming straight line method:-

The monthly depreciation assuming straight line method:-

$$\text{Depreciation per period} = \frac{\text{Cost} - \text{Residual value}}{\text{Useful life}} \text{ Hence:}$$

$$\text{Depreciation for Buildings} = (620,000 - 20,000) / (25 \times 12) \text{ month.} = 2,000$$

$$\text{Depreciation Office equipment} = (96,000 - 0) / 8 \times 12 = 1,000$$

Journal entry:

30/6	Depreciation expense	3,000	
	Accumulated dep. Building		2,000
	Accumulated depreciation equipment		1,000

To record depreciation for the month of June

The depreciation expense is reported as an expense in the income statement. The building and office equipment account will be shown in the balance sheet as follows.

FIXED ASSET

Building	620,000	
Less Acc. Depreciation: Building	<u>2,000</u>	Shs. 618,000
Office equipment	96,000	
Less Acc. Depreciation: Equipment	<u>1,000</u>	Shs. 95,000

Interest Expense

A LTD
Adjusted Trial Balance As
at 30/6/92

ACCOUNT NAME	DEBITS (Shs.)	CREDITS (Shs)
Cash	429,100	
Land	100,000	
Accounts payable		46,000
Notes payable		600,000
Capital		600,000
Building	620,000	
Prepaid insurance	9,200	
Office supplies A/c	5,400	
Office equipment	96,000	
Advertising expense	1,2000	
Commission Revenue		42,000
Salaries and wages	18,000	
Appraisal fees		2,500
Drawing A/c	6,000	
Unearned appraisal Revenue		2,800
Telephone expenses	7,200	
Interest expenses	6,000	
Insurance Expenses	400	
Interest payable		6,000
Office supplies	800	
Depreciation Exp.	3,000	
Accumulated depciation:.building		2,000
Accumulated depciation: Office equipment		1,000
	-----	-----
TOTAL	<u>1,302,300</u>	<u>1,302,300</u>

PREPARATION OF FINANCIAL STATEMENT

After the adjusting process is complete the financial statements can be prepared directly from the adjusted trial balance.

Income Statement

The major purpose/objective of the income statements is to get the net income of the period. For this purpose all the revenues will be added together and all expenses will be subtracted from the revenues to determine the net income.

Therefore: $\text{Net Income} = \text{Revenue} - \text{Expenses}.$

Illustration III continued:

Using the Adjusted Trial Balance we can prepare an income statement and a Balance Sheet as shown below.

A Ltd
INCOME STATEMENT
For The Period Ended June 30 1992

Revenues

Commission Revenue	42,000
Appraisal fee	<u>2,500</u>
Total revenue	44,500

Expenses

Salaries and wages Exp.	18,000	
Insurance Exp.	400	
Office Supplies Exp.	800	
Depreciation Exp. Building	2,000	
Depreciation Exp. Office Equip.	1,000	
Advertising Exp.	1,200	
Telephone Exp.	<u>7,200</u>	
Interest Exp.	<u>6,000</u>	<u>36,600</u>
Net Income		<u><u>7,900</u></u>

BALANCE SHEET

A balance sheet reports the financial position of a firm on a specific date as opposed to income statement which reports the flow of revenue and expenses during a period.

**A Ltd
BALANCE SHEET
AS AT 30/6/92**

<u>Fixed Assets</u>	<u>Shs.</u>	<u>Shs.</u>
Land		100,000
Building	620,000	
Less Acc. Depreciation-building	<u>2,000</u>	618,000
Office Equipment	96,000	
Less Acc. Dep. Office equipment	1,000	<u>95,000</u>
		813,000
<u>Current Assets</u>		
Office supplies	5,400	
A/c Receivable	-	
Prepaid insurance	9,200	
Cash A/c	<u>429,100</u>	
	443,700	
<u>Current liabilities</u>		
Interest payable	6,000	
A/c Payable	4,600	
Unearned appraisal fees	<u>2,800</u>	<u>388,900</u>
Net Assets		<u>1,201,900</u>
Financed by:		
<u>Long term liabilities</u>		
Note payable		600,000
Capital	600,000	

Add net Income	17,900	
Less drawings	<u>6,000</u>	<u>601,900</u>
		<u>1,201,900</u>

THE CLOSING ENTRIES

The income statement reports revenue earned and expenses incurred to earn those revenues during a single accounting period. Data needed to prepare the income statement are accumulated in the individual revenue and expense accounts. Once the income statement has been prepared for the current period the revenue and expense account have served their purpose and they are closed or cleared by transferring their balances to the income summary account. The closing process results in each expense revenue account beginning the next period with a zero balance.

Because revenue and expense accounts are closed each period they are called Temporary or Nominal accounts.

Balance sheet accounts are not closed the ending balance of one period are carried forward and becomes the beginning balance of next period. Thus balance sheet accounts are called permanent or real accounts.

STEPS IN CLOSING THE BOOKS:

Closing entries are generally made in the following sequence:

- (1) Each revenue account is reduced to zero by transferring its balance to the income summary account.
- (2) Each expense account is reduced to zero by transferring the balance to the income summary account
- (3) The balance in the income summary account is transferred to the owner's capital account.
- (4) The balance in the owner's drawing balance in the owner's drawing account is transferred to the owner's capital account.

Illustration

Assume that x Ltd had the following balances in the revenue and expense accounts after the preparation of year end financial statements.

Salaries and wages	270,900
Commission expenses	480,000
Utilities expenses	28,200
Advertising expenses	12,000

Office supplies expense	8,000
Insurance expense	4,000
Depreciation Exp. Building	20,000
Depreciation Exp. Office Equipment	10,000
Interest Expense	6,000
Commission Revenue	960,000
Appraisal fees Revenue	25,000
Service fees Revenue	40,000
Drawings	6,000

REQUIRED

1. Close these account to the income summary
2. Close Income summary and drawing A/c to capital account.

Solution

(i)	Commission Revenue	960,000	Appraisal Revenue	25,000
	Service fees Revenue		40,000	
	Income summary			1,025,000
	To close Revenue A/c			

(ii)	Income Summary	839,100	Salaries and wages	270,900
	Commission expenses		480,000	
	Utilities Expense		28,200	
	Advertising exp.		12,000	
	Office Supplies Exp.	8,000	Insurance Exp.	4,000
	Depreciation Exp: Building		20,000	
	Depreciation Exp: Office Equip.			10,000
	Interest exp.		6,000	
	To close the Expense A/c			

(iii)	Income Insummary	185,900		
	Owners capital		185,900	
	To close the Income summary			

(iv)	Owners capital	6,000
------	----------------	-------

Income Summary A/c		
Total exp. 839,100 185,900	Total Revenue 1,025,000	Owners Capital
	<u><u>1,025,000</u></u>	<u><u>1,025,000</u></u>

ILLUSTRATION III Continued:

Recall the following adjusting journal entries for A Ltd

a) Insurance Expense	400	
Prepaid Insurance		400
b) Office supplies expenses	800	
Office supplies A/c		800
c) Depreciation Expense	3,000	
Accumulated Depreciation: Building		2,000
Accumulated Depreciation: Equipment		1,000
d) Interest expense	6,000	
Interest payable		6,000

A LTD
WORK SHEET
For The month Ended 30/12/2002

ACCOUNT TITLE	UNADJUSTED TRIAL BALANCE		ADJUSTMENT		ADJUSTMENT TRIAL BALANCE		INCOME STATEMENTS		BALANCE SHEET	
	DR	CR	DR	CR	DR	CR	DR	CR	DR	C R
Cash	429,100				429,100				429,100	
Land	100,000				100,000				100,000	
Acc. Payable		46,000				46,000				46,000
Note payable		600,000				600,000				600,000
Capital		600,000				600,000				600,000
Buildings	620,000				620,000				620,000	
Prepaid Insurance	9,600			(a) 400	9,200				9,200	
Off. Supplies A/c	6,200			(b) 800	5,400				5,400	
Office Equipment	96,00				96,000				96,000	
Advertising Exp.	1,200				1,200		1,200			
Commission Rev.		42,000				42,000		42,000		
Salaries & wages	18,000				18,000		18,000			
Appraisal fees		2,500				2,500		2,500		
Drawings A/c	6,000				6,000				6,000	
Unearned appraisal Revenue		2,800				2,800				2,800
Telephone Exp	7,200				7,200		7,200			
Insurance exp.			(a) 400		400		400			
Office Supplies Exp.			(b) 800		800		800			
Dep. Exp. Building			(c) 2000		2,000		2,000			
Dep. Exp. Equip.			(d) 1000		1,000		1,000			
Accumulated Dep. building				© 2,000		2,000				2,000
Interest Exp.				(d) 1,000		1,000				1,000
Interest payable				(e) 6,000	6,000	6,000	6,000			6,000
SUB-TOTAL							36,600	44,500	1,265,700	1,257,800
NET INCOME							17,900			17,900
TOTAL	1,293,300	1,293,300	4,200	4,200	1,296,300	1,296,300	44,500	44,500	1,265,700	1,265,700

Self Testing Problem

To illustrate recording in a general journal, assume that the transactions listed below for the garden shop took place in May 2001, during its first month of operations:

- May 1 Certificate of incorporation was received authorizing the issuance of 100,000 Shares of \$ 5 per common stock. Issued 16250 shares at \$ 8 per share.
- May 1 Borrowed \$ 30,000 from Caty Bank by issuing a \$ 30,000 note due in two years. Interest at 10% is payable annually.
- May 1 Purchased the assets of real-value landscapers for \$ 75000 in cash. The assets Consisted of inventory of \$ 60,000, supplies of \$ 4000, and fixtures and Equipment of \$ 11000.
- May 2 Paid rent on a building for 12 months in advances \$ 7200. Debited rent expense.
- May 3 Purchased display equipment for \$ 10,000 from East African Company. Paid \$ 2000 cash, the balance in 60 days.
- May 4 Purchased merchandise on account from quick wholesale. The cost of the merchandise was \$ 44100.
- May 4 Paid \$ 1800 cash for supplies, which were recorded as an asset.
- May 5 Sold miscellaneous items totalling \$ 25000 to Ace Nursery on account
- May 9 Purchased merchandise costing \$ 30,000 from plants Inc, on account. The transportation cost on the merchandise totaled \$ 250 and was paid in cash.
- May 11 Received \$ 12000 of the amount due from Ace Nursery
- May 12 Paid salaries totaling \$ 3000
- May 20 Cash sales of lawn supplies, \$ 15000
- May 20 Subleased the top floor of the building rented on May 2 for \$ 300 per month. Credited rent revenue.
- May 22 Received \$ 5000 from sale of gift certificates. Credited unearned revenue-gift certificates
- May 24 Purchased temporary investments for cash at a cost of \$ 3600
- May 25 Returned defective merchandize costing \$ 1200 to plants, Inc
- May 26 Sold miscellaneous lawn supplies totaling \$ 24000 to rite-way construction. Rite-way paid \$ 6000 cash, and the balance was on account.
- May 28 Paid the amount due to Quick wholesale, \$ 441000
- May 29 Purchased merchandise on account from Handy & Dandy supply at a cost of \$ 6000
- May 30 Cash sales of lawn supplies, \$ 18000

The above transactions are recorded in general journal form. Notice the format of the General journal and of the journal entries. The first column in the journal shows the date of the transaction. Next, the accounts debited and credited and a brief explanation of the transaction are shown Go through the steps once to remond your self of the journalizing procedure. Finally, the last two columns are for the dollar amounts of the debits and credits.

General Journal Entries

The Garden Shop General Journal

PAGE: 1

Date	Account Title and explanation	Ref	Debit	Credit
May 1	Cash Common Stock Share premium To record sale of common stock		130,000	81250 48750
May 1	Cash Notes payable To record issuance of notes payable		30,000	30,000
May 1	Inventory Supplies fixtures and Equipment Cash To record acquisition of assets of rent Value landscapers		60,000 4,000 11,000	75,000
May 2	Rent expense Cash To record advance payment of rent		7200	7200
May 3	Fixtures and equipment Cash Accounts payable To record purchase of equipment		10,000	2000 8000
May 4	Supplies Cash To record purchase of supplies		1800	1800
May 5	Accounts receivable Sales To record sales on credit		25000	25000

May 9	Purchases Transport expenses Accounts payable Cash To record purchases of merchandise and related freight costs		30000 250	30000 250
May 11	Cash Accounts receivable To record collections from customers		12000	12000
May 12	Salaries expense Cash To record salaries expense		3000	3000
May 20	Cash Sales To record cash sales of merchandise		15000	15000
May 20	Cash Rent revenue		300	300

	To record receipt of rent in advance			
May 22	Cash Unearned revenue- gift certificates To record receipt of cash for gift certificate		5000	5000
May 24	Investments Cash To record purchase of investments		3600	3600
May 25	Accounts payable Purchase returns To record return of defective merchandise		1200	1200
May 26	Cash Accounts receivable Sales To record cash sales & sales on credit		6000 18000	24000

May 28	Accounts payable Cash To record payment of amount due		44100	44100
May 29	Purchases Accounts payable To record purchases on credit		6000	6000
May 30	Cash Sales To record cash sales		18000	18000

Key words:

- ☐ Account
- ☐ Journal
- ☐ General
- ☐ Trial Balance
- ☐ Source Documents
- ☐ Books of original entry
- ☐ Debits and Credit rules
- ☐ Normal Accounts Balance
- ☐ Posting
- ☐ Adjusting
- ☐ Worksheet

PROBLEMS

Problem 2.1

Tradar Winds Airlines provides passenger and freight service among some Pacific Islands. The accounts are adjusted and closed each month. At June 30 the trial balance shown below was prepared from the ledger.

TRADAR WINDS AIRLINES

Trial Balance

June 30, 2000

	£	£
Cash	38,000	

Prepaid rent	9,600	
Unexpired insurance	21,000	
Prepaid maintenance service	22,500	
Spare parts	57,000	
Airplanes	664,000	
Accumulated depreciation: airplanes		108,000
Notes payable		400,000
Unearned passenger revenue		60,000
Stephen Morry, Capital		231,050
Stephen Morry , drawing	12,000	
Passenger revenue earned		110,950
Fuel expense	13,800	
Salaries expense	66,700	
Advertising expense	<u>5,400</u>	<u> </u>
	<u>£910,000</u>	<u>£910,000</u>

Additional information

- (a) Monthly rent amounted to £ 3,200 reducing the Prepaid Rent account to £ 6,400.
- (b) Insurance expense for June was £ 2,400. Reduce the Unexpired Insurance account.
- © All necessary maintenance work was provided by Ryan Air Service at a fixed charge of £ 7,500 a month. Service for three months had been paid for in advance on June 1. (Debit Maintenance Expense).
- (d) Spare parts used in connection with maintenance work amounted to £ 3,750 during the month. (Debit Maintenance Expense. Use two lines on work sheet for this expense account).
- (e) Depreciation of the airplanes for the month of June was £ 7,200.
- (f) The Chamber of Commerce had purchased 2,000 special tickets for £ 60,000. Note that the special price per ticket was £30. Each ticket allowed the holder one flight. During the month 400 of these special price tickets had been used by the holders. (Debit Unearned Passenger Revenue).
- (g) Salaries earned by employees but not paid amounted to £ 3,300 at June 30.
- (h) Interest accrued on notes payable at June 30 amounted to £ 7,000.

Required:

- (a) Prepare a work sheet for the month ended June 30, 2000
- (b) Prepare an income statement, a statement of owner's equity, and a balance sheet. ©
Prepare adjusting and closing journal entries.

Problem 2.2

Ms Robinson , after completing her medical education established her own practice on May 1. The following transactions occurred during the first month.

May 1 Ms Robinson opened a bank account in the name of the practice, Robs Health Care (RHC) by making a deposit of £ 42,000. May 1 Paid office rent for May, £ 1,000

May 2 Purchased office equipment for cash, £ 6,200

May 3 Purchased medical instruments from Niles Instruments, Inc. at cost of £ 19,000. A cash down payment of £ 9,000 was made and a note payable was issued for the remaining £ 10,000.

May 4 Agreement signed with Granny Hospital to be on call for emergency service at a monthly fee of £ 1,400. The fee for May was collected in cash.

May 15 Excluding the receipt for May 4, fees earned during the first 15 days of the month amounted to £ 3,600 , of which £ 2,400 was in cash and £ 1,200 was in accounts receivable.

May 15 Paid Mary, the secretary her salary for the first half of May, £ 00.

May 16 Dr. Robinson withdrew £ 975 for personal use

May 19 Treated Joyce Truda for minor injuries received in an accident during employment at Granny Hospital . No charge was made as these services were covered by the payment on May 4.

May 27 Treated Joshua, who paid £ 50 cash for an office visit and who agreed to pay £ 75 on June 1 for laboratory medical tests completed May 27.

May 31 Paid the secretary £ 800 salary for the second half of month.

May 31 Received a bill from MarkGray Medical Supplies in the amount of £ 840 representing the amount of medical supplies used during May. May 31 Paid utilities for the month, £ 300

Other information

Dr. Robinson estimated the useful life of medical instruments at 6 years and of office equipment at 10 years. The follows is the Chart of Accounts used by Robs Health Care (RHC):

Cash	10	Robison, drawing	41
Accounts receivable	13	Income summary	43
Medical instruments	20	Fees earned	45
Accumulated depreciation:		Medical supplies expense	50
Medical instruments	21	Rent expense	51
Office equipment	22	Salaries expense	52
Accumulated depreciation:		Utilities expense	53
Office equipment	23	Depreciation expense:	
Notes payable	30	Medical instruments	54
Accounts payable	31	Depreciation expense:	
Robison, capital	40	Office equipment	55

Required:

- (i) Journalize the above transactions. (Number journal pages to permit cross-reference to ledger).
- (ii) Post to ledger accounts. (Use running balance form of ledger account. Number ledger accounts to permit cross reference to journal).
- (iii) Prepare a trial balance at May 31, 2000
- (iv) Prepare adjusting entries to record depreciation for the month of May and post to ledger accounts. (For medical instruments, cost £ 9,000 $\div$ 6 years $\times$ 1/12. For office equipment, cost £ 7,200 $\div$ 10 $\times$ 1/12).
- (v) Prepare an adjusted Trial Balance.
- (vi) Prepare an income statement and a balance sheet in report form.
- (vii) Prepare closing entries and post to ledger accounts.
- (viii) Prepare an after-closing trial balance.

Problem 2.3

The following is an unadjusted trial Balance for Saidia Enterprises as at 31st. January for the first month of operation.

	<u>DR</u>	<u>CR</u>
Cash	215,000	
Prepaid Insurance	12,000	
Short term Investment	6,000	

Accounts Receivable	20,000	
Furniture & Fittings	50,000	
Equipment	75,000	
Office Expenses	2,000	
Supplies	19,000	
Salaries and Wages Exp.	5,000	
Advertising Expenses	3,500	
Travel Expenses	4,000	
Commission expenses	1,500	
Revenue		125,500
Accounts payable		26,000
Long term loan		200,000
Capital, Zaidia		<u>62,000</u>
	<u>413,500</u>	<u>413,500</u>

Discussion with the Accountant reviewed the following:

- (i) Insurance policy cover six months.
- (ii) Rent is paid quarterly in advance.
- (iii) The management decided to use the straight line method of depreciating their assets whose useful life is 5 years and 3 years for furniture & fittings and equipment respectively. The assets have no residual value.
- (iv) Include in the revenue account is Kshs 5,000 for services to be rendered in February 2001.

REQUIRED:

Prepare the necessary adjustment as at 31st January and pass the Journal entries. Prepare the adjusted Trial Balance.

Problem 2-4

On checking a profit and Loss Account for 2001 it was found that the following errors had occurred in its preparation:

1. Telephone for £1,600 were outstanding and had not been paid. No entry had been made.
2. Equipment were depreciated by £400; the amount should have been £200

3. Expenses of £500 had been credited instead of being debited.
4. The Gross Profit had been entered as £35,000 it should have been £53,000. If the net profit had been shown originally as £26,000 what should be the correct figure? Would any of the changes have affected the Balance sheet?

Problem 2-5

Black and Co have produced a trial balance for the year ended 31 March 2000 which does not balance. A suspense account was opened for the difference. An examination of the company's books disclose the following errors:

1. An invoice from Joy stationers amounting to £600 for goods purchased, has been omitted from the purchase day book and posted direct to purchases account in the nominal ledger but not to Joy stationers. Account in the purchase ledger.
2. The sales day book has been undercast by £240 and posted to the debtors control account accordingly.
3. Discount allowed for the month of March amounting to £680 has not been posted to the nominal ledger.
4. Goods received from Imani Ltd. On 31 March 2000 costing £20,450 have been included in stock but the invoice has not yet been received.
5. A cheque for £1,920 received from Robert a debtor, has been posted direct to the sales account in the nominal ledger.
6. Sales account in the nominal ledger has been credited with a credit note for £850 being trade-in allowance given on a company van. Required
 - (i) To give the journal entries, where necessary to correct these errors, or if no journal entry is required, state how they will be corrected.
 - (ii) To prepare a statement showing the effect the corrections would have on the company's profit for the year, and
 - (iii) If the net profit before the corrections are made is £90,000, determine the corrected net profit.

LESSION 3

ACCOUNTING FOR CASH

Objectives:

At the end of this lesson you will be able to

- ☐ Define cash
- ☐ Understand the cash control system
- ☐ Prepare a Petty cash book
- ☐ Prepare a Cash book
- ☐ Post the Petty cash entries to the ledger
- ☐ Post the cash book entries to the general and subsidiary ledger ☐ Prepare a Bank reconciliation statement

Definition

Cash is the term used in accounting to identify money and any other investment such as a check or money order. Cash is a medium of exchange as well as a measure of value in our economy. Cash is unproductive asset because it produces no revenue directly. Therefore any cash accumulated in excess of what is needed for current use should be invested in some type of revenue generating investment.

Cash must be adequately protected because

- it is most easily misappropriated,
- usually in short supply □ desired by every one □ can be idle.

CASH CONTROL

A good internal control system for handling cash and cash transactions is vital. Such a system must contain procedures for protecting cash on hand as well as for handling both cash receipts and cash disbursement elements of internal control system for cash.

1. The separation of the responsibility for handling and custodianship of cash from responsibility for maintaining cash records/accounting records.
2. The deposit of each day's cash receipt intact (on daily basis). This prevents the cash custodians from borrowing the finds until the next deposit day.
3. Making all cash payment by Cheque. This allows the firm to use the bank record as a cross check of its internal records. Except small payments.
4. Separate the function of approving expenditure from the function of signing cheques.
5. Require that the validity and amount of every expenditure be verified before a Cheque is issued in payment.
6. Preparation of a control listing of cash receipts at the time and place the money is received.

THE PETTY CASH SYSTEM

The Petty Cash Fund And The Imprest System

As stated earlier all disbursement should be made by cheque. However, to avoid the expense and inconvenience of writing many small cheques for minor expenditures such as postage stamps a petty cash fund is established. A petty cash fund is a specified amount of cash placed under the control of a specified employee for use in making small payments.

Establishing The Fund

The petty cash fund is established by writing a cheque to the petty cash fund cashier. A debit to a petty cash account and credit to the cash A/c record the Cheque.

e.g. Assuming a fund of Shs. 1000 is established on Jan 2nd the journal entry is.

Jan 2 petty cash 1000
 Cash 1000 To establish a petty
 cash fund.

Making Disbursements From The Fund

As cash payments are made from the fund, the recipient should be required to sign a petty cash receipt prepared by the petty cash fund cashier. The recipient should show the amount paid. The purpose of the payment and the date paid.

The petty cash fund must be replenished periodically. Every paid receipt in the fund should be sent to the accounting department to serve as a basis for the entry needed to record replenishment. A Cheque should then be issued in an amount sufficient to restore the fund to its original amount (Shs. 10,000).

Various expense accounts are debited as indicated by the petty cash receipts and cash is credited for the amount needed to replenish the fund.

Example

Assume that the petty cash box contained the following receipts and cash at the end of the first month of operation.

<u>Receipt No.</u>	<u>Purpose</u>	<u>Amount(Kshs.)</u>
1,3	Postage stamp	5,650.00
2,5	Office supplies	1,240.00
4	Office Coffee	1,520.00
	Cash in Box	<u>1,590.00</u>
		<u>10,000.00</u>

The fund should be replenished and the following Journal entry is recorded:-

Jan 31	Postage Expenses	5650	
	Office Supplies Expenses	1240	
	Miscellaneous Expenses	1520	
	Cash		8410

To replenish petty cash fund.

NB

Petty cash A/c is not affected by the replenished entry. The petty cash account is debited only when the fund is initially established and no other entries are made to the petty cash amount unless a decision is made to increase or decrease the size of the fund.

THE ANALYTICAL PETTY CASH BOOK

The analytical petty cash book is often prepared by the petty cash fund float cashier. Its format is as follows.

Receipt	Folio	Date	Details	Folio	Voucher No	Total	Motor Exp.	Travel Exp.	Postage Exp.

You are expected to understand:

- Explain the entry process for each column
- Balancing the petty cash book means adding up the columns - Posting the totals at the end of the period.

ILLUSTRATION

1. On 1st of March the finance manager established a petty cash fund/float of Kshs. 5,000 by authorizing the writing of a Cheque in the name of the petty cashier.
2. Payments out of the petty cash during the month of march were as follows:-
 - (a) 2nd messenger transport by public means 50/=
 - (b) 3rd bought postage stamps – 150/=
 - (c) 10th paid wages amounting to 1,200/=
 - (d) 15th incurred office expenses amounting to Ksh 550 relating to office tea.
 - (e) 16th messenger transport 60/=
 - (f) 17th bought office stationery 265/=

- (g) 17th bought cleaning materials 700/=
- (h) 18th bought postage stamps 180/=
- (i) 20th paid wages 1,000/=
- (j) 22nd replenished petty cash fund
- (k) 25th transport paid for the cashier 60/=
- (l) 26th paid a creditor Mr. Jones 1,500/=
- (m) 27th bought stationery for the office 371/=
- (n) 28th transport for the message 50/=
- (o) 30th paid wages 1,100
- (p) 31st petty cash replenished

Required

- (i) Enter the transactions in the petty cash book (ii)
- Balance off the petty cash book (iii) Post the entries to the ledger.

PETTY CASH BOOK

page: 1

Receipt	Folio	Date	Details	Folio	Voucher	Total	Postage	Stationery	Cleaning material	Office	Wages	Travel	Creditors
5,000	CB	Mar 1	Replenishment										
		2	Transport		1	50						50	
		3	Stamps		2	150	150						
		10	Wages		3	1,200							
		15	Office exp.		4	550				550			
		16	Transport		5	60						60	
		17	Stationery		6	265		265					
		17	Cleaning material		7	700			700				
		18	Stamps		8	180		80					
		20	Wages		9	1000					1000		
4155	CB	22	Replenishment										
		25	Transport		10	60						60	
		26	Creditor-Jones		11	1500							1500

		27	Stationery		12	371		371					
		28	Transport		13	50						50	
		30	Wages		14	1100					1100		
3081	CB	31	Replenish ment										
			Bal. c/d			5000							
-----						-----							
<u>12236</u>			Total			<u>12236</u>	<u>150</u>	<u>716</u>	<u>700</u>	<u>550</u>	<u>2100</u>	<u>110</u>	<u>1500</u>
							Gl/ 34	Gl/ 37	Gl/ 08	Gl/ 36	Gl/ 35	Gl/ 38	Gl/ 12
5000			Bal b/d										

You post the entries in the General ledger book in the appropriate Accounts:

General ledger Book

TITLE: Postage exp.

A/c No 34

Date		Explanation	Ref	Dr	Cr.	Balance
March	30	PCB	1	150		150

TITLE: salaries and wages

A/c No. 35

Date		Explanation	Ref	Dr	Cr.	Balance
March	30	PCB	1	2100		2100

TITLE: Office Exp.

A/c No. 36

--	--	--	--	--	--

Date		Explanation	Ref	Dr	Cr.	Balance
March	30	PCB	1	550		550

TITLE: Stationery

A/c No. 37

June	Date	Explanation	Ref	Dr	Cr.	Balance
March	30	PCB	1	716		716

TITLE: Travel

A/c No. 38

Date		Explanation	Ref	Dr	Cr.	Balance
March	30	PCB	1	110		110

TITLE: cleaning exp.

A/c No 008

Date		Explanation	Ref	Dr	Cr.	Balance
March	30	PCB	1	700		700

PURCHASES LDGER BOOK

TITLE: Mr. Jones

A/c No.012

Date		Explanation	Ref	Dr	Cr.	Balance
March	30	PCB	1	1500		

THE CASH BOOK

The Two Column Cash Book.

The Cashbook is the cash A/c and the bank account brought together in one book. The account column for bank and cash transaction are placed together so that the recording of all the money received and paid out on a particular date can be found on the same page.

The bank column contains details of the payments made by cheque and money received and paid into the bank account. The bank will have a copy of the account in its own books. The bank will periodically send a copy of the accounts in its books to the firm usually known as the bank statement.

When the firm receives the bank statement it will check against the bank column in its own cashbook to ensure that there are no discrepancies.

EXAMPLE OF TWO COMN CASH BOOK

date	Details	ref	cash	Bank	date	details	re f	Cash	Bank
	Capital		100			Rent		10	
	Flake loan			500		B McKenzie			65
	Sales		98			B Burton		22	
	N.miller					Bank		50	
	Sales			62		Flake loan			100
	Gmoores		65	53		Motor Exp.			12
	Cash ©					Cash ©			100
	Sales			50		Wages		97	
	Bank		100	66		<u>Bal. c/d</u>		<u>184</u>	454
			-----	-----				-----	-----

			<u>363</u>	<u>731</u>				<u>363</u>	<u>731</u>
	Bal. b/d		184	454					

CASH DISCOUNT AND THE THREE COLUMN CASH BOOK

When a firm receives and allows discount the cash book may be extended to include the discount column.

It should be noted that the discount allowed and discount received columns are contained in the general ledger along with all the other revenue and expense account.

Sample Three column cash book

Date	Details	fol io	Discount allowed	Cash	Bank	Date	Details	fol io	Discount Received	Cash	Bank

ILLUSTRATION

Balance brought forward as at 1st Jan 2000

Cash balance 2,900

Bank Balance 157,800

Debtors A/c Balances

XYZ Co. 210,000

Bell Inc. Ltd. 27,500

Mwanzo Ltd	40,000
Creditors A/c Balances	
ABC Co. Ltd.	50,000
Joyland	56,000
Payjack Ltd	112,000

2nd Jan. Mwanzo Ltd paid by cheque the total amount having deducted 2% discount.
8th Jan Joyland paid his account by cheque less a 5% cash discount.
11th Jan Withdraw Ksh.10,000 cash for business use
13th Jan XYZ Co. paid half of the amount owing less 2% cash discount by cheque.
25th Jan wages amounting to Ksh 5,200 was paid in cash.
28th Jan Bell Inc. Ltd paid in cash after deducting 2% discount
30th Jan Pay Jack Ltd was paid full amount by cheque
30th Jan XYZ Co. paid the remaining balance in full by cash which was banked the same day.
30th Jan Salaries amounting to Kshs. 20,000 were paid by cheque.
30th Jan Purchase office stationery by cash Kshs.6,925. 31st
Jan Bank the cash received from Bell Inc.

REQUIRED

1. Prepare the cash book including the discount column.
2. Show the closing balances of
 - sales ledger accounts
 - purchases ledger account
 - general ledger accounts

Solution

CASH BOOK

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Date		Folio	DISC Allow ed	CASH	BANK			folio	DISC Receive d	CASH	BANK
Jan			Kshs.	Kshs.	Kshs.		Jan	Kshs	Kshs	Kshs	Kshs
1	Balances b/f			2,900	157,800	8	Joyland	PL 78	2,800		53,200
2	Mwanzo Ltd	SL 25	800		39,200	11	Cash	C			10,000
11	Bank	C		10,000		25	Wages	GL/02		5,200	
13	XYZ Co.	SL 12	2,100		102,900	30	Pay jack	PL 80			112,000
28	Bell Inc. Ltd	SL 19	550	26,950		30	Bank	C		105,000	
30	XYZ Co.	SL 12		105,000		30	Salaries	GL/02			20,000
30	Cash	C			105,000	30	Stationery	GL/04		6,925	

31	Cash			26,950	31	Bank	C	26,950	
					31	Balances c/d		775	236,650
		<u>3,450</u>	<u>144,850</u>	<u>431,850</u>		Total			
		GL/32						<u>2,800</u> GL/30	<u>144,850</u> <u>431,850</u>
feb 1	Feb 1 Bal. B/d		775	236,650					

SALES LEDGER

XY Z CO.

A/c No. 12

Date & Details	Folio	DR	Date & Details	folio	CR
Jan 1 Bal	B/d	210,000	Jan 13 Disc	CB23	2,100
			Bank	CB23	102,900
			30 cash	CB23	105,000

Bel Inc. Ltd.

A/c no 19

Date & Details	Folio	DR	Date & Details	folio	CR
Jan 1 Bal.	b/d	27,500	Jan 28 Disc	CB23	550
			Bank	CB23	26,950

Mwanzo Ltd.

A/c No.25

Date & Details	folio	DR	Date & Details	folio	CR
Jan 1 bal.	b/d	40,000	Jan 2 Disc	CB23	800
			Bank	CB23	39,200

PURCHASES LEDGER

ABC CO.Ltd

A/c No 70

Date & Details	folio	DR	Date & Details	folio	CR
			Jan 1 bal.	B/d	50,000

Joyland Ltd.

A/c No.78

Date & Details	folio	DR	Date & Details	folio	CR
Jan 8 Discount	CB23	2,800	Jan 1 bal.		
Bank	CB23	53,200		B/d	56,000

Pack Jack

A/c No. 80

Date & Details	folio	DR	Date & Details	folio	CR
Jan 30 bank	CB23	112,000	Jan 1 bal.		
				B/d	112,000

GENERAL LEDGER

Salaries and Wages

A/c No.02

Date & Details	folio	DR	Date & Details	folio	CR
Jan 25 Cash	CB23	5,200			
30 Bank	CB23	20,000			

Stationery

A/c No. 04

Date & Details	folio	DR	Date & Details	folio	CR
Jan 30	CB23	6,925			

Discount Received

A/c No. 30

Date & Details	folio	DR	Date & Details	folio	CR
			Jan 31 Total for the month	CB23	2,800

Discount Allowed

A/c No. 32

Date & Details	folio	DR	Date & Details	folio	CR
Jan 31 total for the Month	CB23	3,450			

BANK RECONCILIATION STATEMENT

The cash balance reported on the closing date of the bank statement rarely agrees with the balance shown in the depositors general ledger cash account (or cash book).

As a result a bank reconciliation statement is prepared for each bank account. Its main purpose is to reconcile the cash balance reported on the bank statement with the balance according to the deposits records. The bank reconciliation therefore proves the accuracy of both records.

The bank statement may differ from the depositors record for several reasons which include.

- (a) Cash shown as deposit in the cash book has not yet been added to the bank a/c by the bank. Such deposits are referred to as Deposit in transit.
- (b) Amount deducted from cash on the depositors books have not yet been deducted from the bank account balance by the bank. These are known as outstanding cheques.

- (c) Amount added to the depositors bank A/c by the bank and not yet recorded on the depositors books e.g. a note or other receivables collected by the bank on behalf of the depositor and credited directly to the bank a/c.
- (d) Amount deducted from the bank A/c by the bank but not yet recorded by the depositors books e.g. service charges interest on overdraft Cheque printing charges etc.

FORMAT OF BANK RECONCILIATION STATEMENT

Balance as per cash book	xx
Add Amount added to the bank A/c not yet recorded in cash Books (eg direct deposit)	xx
Less Amount deducted from the bank A/c by bank but not yet recorded In the cash book eg charges	xx
Adjusted cash book balance	xx
Balance as per bank statement	xx
Add amount added to cash book but not bank statement eg deposit in transit	xx
	xx
Less Amount deducted from the cash books but not yet deducted From the bank e g (outstanding Cheques)	xx
Adjusted Bank Balance	<u>xx</u>

PROCEDURES FOR LOCATING RECONCILING ITEMS

1. The individual deposits listed on the bank statement are compared with those recorded on the depositors cash book. Any discrepancies are identified. Any deposits unrecorded by the bank is added to the bank statement balance on the reconciliation as deposits in transit.
2. The amount of individual cheques paid by the bank as listed on the bank statement are compared with the amounts listed on the depositors records. Issued cheques that have not yet been cleared by the bank are deducted from the bank balance as outstanding cheques.
3. Any debit or credit memos included with the bank statement are separated so that they can be deducted from or added to the cash book balance. Adjusting journal entries must be prepared to record these items.
4. Errors discovered in step 1 through 3 are listed separately as reconciling items. The bank is notified of errors in its records so that bank employees can make appropriate adjustments

to the bank account. Errors discovered in the depositors own record are corrected by appropriate journal entries.

ILLUSTRATION BANK RECONCILIATION

Assume that Data Company received a bank statement showing a bank balance of \$5,425.53 on September 30th 1992. The cash book Balance on the books of Data Company on the same date was \$4,215.51.

The following differences between the bank statement and Data Company's cash record were identified.

- (i) A deposit in the amount of \$546.87 was deposited on 30th September and was not shown in the bank statement.
- (ii) Cheques issued and recorded in the cash book but not paid by the bank were:

Cheque No.	Amount
1027	94.67
1029	174.83
1031	102.62
1032	39.58
1034	<u>216.47</u>
	<u>628.17</u>

- (3) Two debit memos were included with the bank statement
 - (i) One memo was for dishonored Cheque from Mary James,\$ 89.78.
 - (ii) The second amounting to \$ 8.50 represented bank service charges for the month of September.
- (4) A credit memo included in the bank statement showed that the bank had collected a note receivable of \$ 1,225. The bank charged a collection fees of \$25. This had not been entered in the cash book.
- (5) It was discovered that Cheque No. 1024 amounting to \$ 36.72 in payment of purchase of office supplies had been incorrectly entered in the cash disbursement Journal as \$ 63.72 there by producing an understatement of the cash book by \$ 27.

REQUIRED

- (i) Prepare a bank reconciliation statement for data company As at 30th September 1992.
- (ii) Prepare the necessary adjusting entries.

BANK RECONCILIATION STATEMENT

AS at 30 SEPT 1992

		\$
Balance per cash book		4,215.51
Add – Direct deposit notes Receivable		1,225.00
-Error correction = Cheque No.1024		<u>27.00</u>
		5,467.51
Less	25.00	
-Bank Charges: collection fees		
-Dishonored cheque Mary Jones	89.78	
-Bank service Charge	<u>8.50</u>	<u>123.28</u>
Adjusted Cash Book Balance		<u>5,344.23</u>

Balance per Bank Statement		5,425.53
Add. Deposit on transit		<u>546.87</u>
		5,972.40
Less Outstanding cheques Cheque		
No.	<u>Amount</u>	
1027	94.67	
1029	174.83	
1031	102.62	
1032	39.58	
1034	<u>216.47</u>	<u>628.17</u>
Adjusted Bank Balance		<u>5,344.23</u>

ADJUSTING JOURNAL ENTRIES

(i) Cash 1225

	Notes Receivable	1225	
(ii)	Cash 27		
	Office Supplies	27	
(iii)	Bank Charges 33.50		
	Cash		33.50
(iv)	A/c Receivable 89.78		
	Cash		89.78

To reverse the Entry to show dishonored Cheque.

Key words:

- ☐ Cash
- ☐ Petty cash book
- ☐ Petty cash fung imprest system
- ☐ Discount received
- ☐ Discount allowed
- ☐ Deposit in transit
- ☐ Direct deposit
- ☐ Outstanding cheques

PROBLEMS

3.1 Information necessary for the preparation of a bank reconciliation and other related data for Batian Peak company is listed below as at March 31st, 1980.

- (1) The balance per cash book records of Batian Peak company at March 31.1980 is Shs. 16,604.05
- (2) The bank statement shows a balance of Shs. 21,886.50 as of March 1980.
- (3) Accompanying the bank statement was a Cheque of D. Tergut for Shs 1795.90 which was marked refer to drawer by the bank.
- (4) Cheques unrepresented as of March 31 were as follows Cheque No. 84 for Shs. 1,841.05 Cheque No.88 for Shs.1,323.00 and Cheque No. 89 for Shs.1,626
- (5) Also accompanying the bank statement was a debit memorandum for Shs.44.80 for rental charges for a safe deposit box; the bank had erroneously charged this item to the account of Batian Peak Company.
- (6) On March 29,1980 the bank collected a 90 days 10% note receivable for Batian peak Company the bank charged a collection fee of Shs. 8.40. The bank received Shs. 2,963. The bank charged a collection fee of Shs. 8.40

- (7) A deposit Shs. 2,008.40 was in transit and has been mailed to the bank on March 31, 1980.
- (8) In recording a Cheque for Shs. 1,600 from Ross Construction Co. the accountant of Batian Peak erroneously listed the collection in the cash receipts journal as Shs.160/= . The Cheque was correctly recorded by the bank.
- (9) The bank service charge for March amounted to Shs.53.10 debit memo in this amount was returned with the bank statement.

REQUIRED

- (i) prepare a bank reconciliation at March 31, 1980.
- (ii) Prepare the necessary journal entries to update the records of Batian Peak Company.

3.2 Jackson Harrison started business on 1st November 1998 as a stationery retailer. He has been so busy promoting his business during the first month that he has only kept brief list of transactions. He was surprised when his first month's Bank Statement arrived and the balance did not seem to bear any resemblance to his calculations.

Jackson started his business with \$45,000 in the bank.

The list that Jack kept were as follows:-

Cheque payments				Receipts (bank)			
Nov		Cheque No.	Amount	Nov		Amount	Paid in date
01	Rent	0001	\$1,600	03	Sales	\$500	10 Nov
03	Purchases	0002	\$3,490	09	Sales	\$460	10 Nov
09	Fixtures	0003	\$760	19	Sales	\$300	20 Nov
14	Stationery	0004	\$365	20	Sales	\$2,010	20 Nov
17	Till	0005	\$1,900	21	Sales	\$1,090	25 Nov
25	Fixtures	0006	\$800	24	Sales	\$470	25 Nov
26	Purchases	0007	\$55	30	Sales	\$3,450	30 Nov
30	Sundries	0008	\$200	30	Sales	\$ 900	30 Nov

In addition Jackson scribbled on a piece of paper that on 10th November he withdrew \$2,400 in cash on 27th November. Although the information that Jack has kept is a little brief you can assume that it is accurate as far as the entries that he has made.

The Bank Statement is as follows:-

FIRST BANK of KENYA

Account No. 133-001-200 -456

Page 1

Jackson Harrison
GPO 32 Central Nairobi

30th November 1998

	Debit	Credit	Balance
01 Nov Opening balance			45,000
04 Nov Cheque 0001	1,600		43,400
07 Nov Cheque 0002	3,490		39,910
10 Nov Receipt		960	40,870
10 Nov withdrawal	2,400		38,470
12 Nov DD Rates	256		38,220
20 Nov Receipt		2,310	40,530
22 Nov SO rent	500		40,030
23 Nov Cheque 0004	365		39,665
25 Nov Credit transfer A Smith		550	40,215
25 Nov Receipt		1,560	41,775
27 Nov Withdrawal	500		41,275

YOU ARE REQUIRED TO

- (a) complete the cash book (Bank columns only) for the month of November 1998. (9marks)
- (b) Prepare a Bank Reconciliation statement as at 30th November 1998 starting with the Cash Book Figure. (11marks)
- (c) State the importance of producing a Bank Reconciliation Statement on a regular basis.

Lesion 4:

SPECIAL JOURNALS AND CONTROL ACCOUNTS

OBJECTIVES:

At the end of the lesion you will be able to understand, prepare and post the following:

- Purchases Journal
- Sales Journal
- Return inward journal
- Return outward journal
- Control accounts

Introduction

- Books of original entry are books where Transactions are recorded first. - Each book contains transaction which are related.

SALES JOURNAL AND THE SALES LEDGER

Records credit sales for each period sales Journal shows:

- Date
- Name of customer /debtor
- Invoice number
- Folio column
- Final amount of invoice

Name of customer

When sales are made in cash there is no need of keeping details of the customer. When sales are on credit maintain customers name & address for future communication.

Invoice

- Document sent by the selling firm to the buying firm. To the seller its called a sales invoice and the buyer is called a purchase invoice. Invoice contains:-
- Date
- Address of the buyer
- Number
- Quatity & description of items
- Amount in per unit & total
- Terms of payment

SALES JOURNAL SAMPLE:

DATE	DESCRIPTION	INVOICE NO.	FOLIO	AMOUNT

POSTING CREDIT SALES TO SALES LEDGER

The sales ledger contains all the credit customers. Each credit sale is posted to the debit side of each customer's account in the sales ledger. The total is posted to the sales account in the general ledger as a credit.

TRADE DISCOUNT

Discount given to customers who buy in bulk. The invoice amount is shown adjusted for the discount.

Example

(1) without trade Discount

If customer A bought the following items on credit:- 25

dozens of exercise Books	@ 60
20 dozens of pens	@ 360
330 pockets of ink rubber	@ 1500

Required: Prepare an invoice

Invoice will look like:

Your Purchase Order: 12/A/879		Joyland Ltd P O Box NAIROBI 6 th March	
INVOICE No. 1785			
To: A Ltd. P.O Box Nairobi			
Qty	Description	Per Unit	Total
20 dozens	Exercise Books	60	1,500
20 packets	pens	360	7,200
30 packets	Ink rubber	1500	45,000
	Total		<u>53,700</u>
	Terms 2% cash discount if paid within one month.		

(2) If customer B. Bought the following which allow for 20% trade Discount:-

200 Dozens of exercise books @ 60
 350 Pockets of pens @ 360
 250 Pockets of Ink rubber @ 1500
 500 Cartons of Ink @ 2500

Your Purchase Order: 12/A/879		Joyland Ltd P O Box NAIROBI 6 th March	
INVOICE No. 1785			
To: A Ltd. P.O Box Nairobi			
Qty	Description	Per Unit	Total
200 Dozens	Exercise Books	60	12,000
350 Packets	Pens	360	126,000
250 packets	Ink rubber	1500	375,000
500 cartons	Ink	2500	<u>1,250,000</u>
	Total		1,763,000
	Less 20% trade discount		<u>352,600</u>
			<u>1,410,400</u>

This is the amount which is entered in the sales ledger.

Student Assignment:

Find out how a firm can ensure that its customer pay in time & measures which can be implemented for the credit control.

Hint

- Credit limit for every customer.
- Refusing to offer further credit to defaulters - Legal Action
- Keep the customer informed of possible action in case of failure to pay.

NB: No entry is made for trade Discount.

PURCHASES JOURNAL & LEDGER

As noted earlier, the same invoice which becomes a sales invoice to the accounts books of the seller, it becomes a purchases invoice to the accounts books of the buyer.

Same format as sales Journal & Similar posting only that the purchases ledger book keeps record of the creditors whose normal balances are credits.

Posting

- (1) Credit purchases are posted to individual suppliers accounts in the purchase ledger - credit
- (2) The total is posted to purchases Account in the general ledger - Debit **Illustration**

XYZ Co. Ltd. had the following purchases on credit for month of May.

- May 1 From a motors 3 motor van at 600,000/= less 10% trade discount.
- 5 From sunshine Ltd. 2 driers at 15,000/= each 3 dish washers @ 13,000
- 16 From joy Ltd. 10 Dish washers @ 14,000/= less 25% trade discount
- 20 From sunshine Ltd. 20 driers @ 15,000/= less 15% trade discount
- 25 From ABC Ltd. 3 washing machine @ 20,000
- 30 from stationers Ltd. 15 video cassette @ 500/=

Required

- (i) Prepare the purchases Journal for the month (ii)
- Post the items to the suppliers account.
- (iii) Transfer the total to the purchases account

Purchases ledger Account No:

A motors	12
Sunshine Ltd.	14
Joy Ltd.	16
ABC Ltd.	18
Stationers Ltd.	20
General Ledger A/c No.	
Purchases A/c	30

solution

PURCHASES JOURNAL :

PAGE: 1

DATE	DESCRIPTION	INVOICE NO.	FOLIO	AMOUNT
May 1	A Motor		PL/12	1,620,000
5	sunshine Ltd		PL/14	69,000
16	Joy ltd		PL/16	105,000
20	sunshine Ltd		PL/14	255,000
25	Abc ltd		PL/18	60,000
30	Stationers ltd		PL/20	7,500
	TOTAL			2,116,500
				GL/30

PURCHASES LEDGER

A Motor

A/c No. 12

Date & Details	Folio	DR	Date & Details	folio	CR
			May 1 purchases	PL1	1,620,000

sunshine Ltd

A/c no 14

Date & Details	Folio	DR	Date & Details	folio	CR
			May 5 purchases	PL1	69,000
			20 purchases	PL1	255,000

Stationers ltd.

A/c No.20

Date & Details	folio	DR	Date & Details	folio	CR
			May 30 purchases	PL1	7,500

ABC CO.Ltd

A/c No 18

Date & Details	folio	DR	Date & Details	folio	CR
			May 25 purchases	PL1	60,000

Joy ltd

A/c No.16

Date & Details	folio	DR	Date & Details	Folio	CR
			May 16 purchases	PL1	105,000

GENERAL LEDGER

PURCHASES A/C

A/c No. 30

Date & Details	folio	DR	Date & Details	folio	CR
May 31 Credit purchases for the month	PL1	2,116,500			

COLUMNAR DAY BOOK

Where an organization records all items obtained on credit in one book. Then an analysis book is used.

Date	Name of firm	Pl Folio	Total	Purchases	Stationery	Motor Exp
		PL PL		GL	GL	

RETURN INWARDS JOURNALS

Customers may return good for various reasons which include:-

Goods being of wrong type

- Wrong colour
- Defective or faulty
- Customer bought more than needed.

NB Prices may be reduced instead of returning.

CREDIT NOTE

- Sent to the customer showing the amount of allowance given to reduce the price of the goods or for the return of the goods.
- Reduces the amount the customers owes.

POSTING

- Individual Entries are credited to the accounts of the customers in the sales ledger.
- total of the returns inwards Journal is posted to the debit of the returns inwards account in the general ledger

RETURNS OUTWARDS JOURNAL

These are returns to the supplier the goods already delivered. Returns outwards deals with the purchases ledger – Debited to show the reduction of the amount to paid to the suppliers or creditors.

In the General ledger, the returns outwards A/c is credit .

POSTING

Individual entries are debited to the accounts of the creditors in the purchases ledger. The total is posted to returns outwards A/c in G/L as credit.

OTHER DOCUMENTS USED

Already dealt with

- Invoice
- Credit note
- Debit note

Statements:

- Sent periodically to the debtors showing

- Amount owing beginning of period
- Amount of invoices sent over the period
- Credit notes sent over the period
- Cash & cheque received
- Amount due end of period.

The statement shows copy of a customer, personal account taken from the suppliers books.

Delivery note:

Find out the differences between Delivery and invoice.

SUMMARY

BOOKS OF ORIGINAL ENTRY and SOURCE OF INFORMATION

- Sales Journal
- Credit Sales
- Purchase Journal - For credit purchases
- Returns inwards Journal
- For returns inwards
- Returns outwards Journal
- For returns outwards
- Cash Book - for receipts and payments of cash and cheques
- General journal for other items.

CONTROL ACCOUNTS

The control accounts are maintained where many ledgers are kept hence difficult to check accuracy by a Trial Balance. What is required is a Trial Balance for each ledger. This is accomplished by means of control accounts. A control account is an account which checks the arithmetic accuracy of a ledger.

PRINCIPLES OF CONTROL A/c

Based on :-

Total Opening Balance	XX
Add: Total Increases to the A/c	<u>XX</u>
	XX
Less: total decreases to the a/c	<u>XX</u>
Total Closing Balance	<u>XX</u>

A control account is also referred to as total accounts as totals are used.

Examples of Control Accounts.

- Sales ledger control account or total debtors.
- Purchases ledger control account or total creditors accounts.

In large organizations the control accounts are often part of the double entry system with the individual personal accounts for debtors and creditors being treated for memorandum purpose only.

In small firms, the control account is often seen as a form of Trial Balance for each ledger.

INFORMATION FOR CONTROL ACCOUNTS

Sales Ledger Control	Source
(1) Opening debtors	-List of debtors' balances drawn up at the end of previous period
(2) Credit Sales	-Total from sales Journal

- | | |
|----------------------|---|
| (3) Returns inwards | -Total of returns inward journal. |
| (4) Cheques received | - Cash book, Bank column on receipt side. -
List extracted or total of a special column
which has been included in the cash book. |
| (5) Cash Received | - Cash book cash column on received side. -
List extracted or total of a special column
which was included in the cash book. |
| (6) Closing debtors | - list of debtors balances drawn up at the end
of the period. |

Sales Control A/c

Opening Bal.	XX
Credit Sales	XX
Dishonored Charges	XX

XX
=====

Bank receipts	XX
Cash	XX
Returns inwards	XX
Bad debts written off	XX
Balance c/d	XX

XX
=====

Purchase Ledger Control

Source

- | | |
|-----------------------|---|
| (1) Opening Creditors | -List of creditor Balances drawn up at end of
previous period. |
| (2) Credit Purchases | - Total from purchases journal |
| (3) Returns outwards | -Total of returns outwards Journal. |
| (4) Cheques paid | -cash book ; cash column on payments side. |
| (5) Closing creditors | - List of creditors' balance drawn up at end
of the period. |

Purchase Control Ledger

Bank payment	XX	Opening Bal.	XX
Cash payment	XX	Credit Purchase	XX
Returns outwards	XX		
Closing Balance	XX		
	-----		-----
	XX		XX
	=====		=====

NB: If an error is located the double underlining is left out ie account not ruled off, until when the error is discovered and corrected.

ADVANTAGES OF CONTROL ACCOUNT

- (1) Locating Errors
- (2) Prevent or minimum fraud
- (3) Balances can be used for management report without individual listing of Balances.

NB: In very large there may be more then one sales or/and purchases ledger. Accounts can be dividend in various ways:-

- (i) Alphabetically - e.g. A-G, H-M and N-Z
- (ii) Geographically - split - Eastern, Central, Upper, Lower etc.

For each ledger there is a separate control Account. Then an analytical sales Books can be used

.
e.g.

Date	Details	Total	Area A	Area B	Area C
------	---------	-------	--------	--------	--------

	Total		<u>XXX</u>	<u>XXX</u>	<u>XXX</u>
--	-------	--	------------	------------	------------

OTHER TRANSFERS

Where a firm is both a supplier and a customer then inter-indebtedness is set off.

e.g. Where a firm has sold to sunshine limited goods – Kshs.9,000 and sunshine has supplied goods Kshs. 13,000

SALES LEDGER

Sunshine Limited

Credit Sales	9,000	Set off purchase Ledger	9,000
---------------------	--------------	--------------------------------	--------------

PURCHASE LEDGER

Sunshine Limited

Set off sales Ledger	9,000	Purchase	13,000
Balance c/d	<u>4,000</u>		
	<u>13,000</u>		<u>13,000</u>

N.B The transfer of Kshs. 9,000 will appear on the credit side of the sales ledger control account and on the debit side of the purchases ledger control account and on the debit side of the purchases ledger control account.

CONTROL ACCOUNTS AS PART OF THE DOUBLE ENTRY

In large organization control accounts are an integral part of the double entry system the balance of the control account being taken for the purpose of extracting a trial balance.

In this case the personal accounts are used as subsidiary records.

ILLUSTRATION

Prepare a sales ledger control account from the following information for may 1999 carrying down the balance as at 31/5/99

1 May 99	Sales Ledger Balances	20,800
31,May 99	Sales Journal	150,000
	Bad debts written off	1,500
	Cheques received from debtors	120,000
	Discount allowed	1,350
	Charges dishonoured	2,400
	Returns inwards	3,150
	Set off against balance in	
	Purchases ledger	500

SALES LEDGER CONTROL ACCOUNT

1999		Bad debts	1,500
1/5 Bal b/d	20,800	Cheque received	120,000
31/5 Sales	150,000	Discounted allowed	1,350
Cheque Dishonoured	2,400	Returns inwards	3,150
		Set off	500
		31/5 Bal. c/d	<u>46,700</u>
	<u>173,200</u>		<u>173,200</u>
1/6 Bal b/d	46,700		

PROBLEM

1. You are required to prepare a sales ledger control account from the following for the Month of June 2001

	£-
June 1 Sales Ledger Balances	54,930
Totals for June	
Sales Journal	149,910
Returns Inwards Journal	21,130
Cheques and Cash received from customers	66,490
Discounts allowed	11,455
Bad debts written off	900
Balances in the Sales Ledger set off against credit balances	
In the purchases ledger	3250
June 30 Sales Ledger Balances	101615

2. You are required to prepare a purchases ledger control account from the following for the month of December. The balance of the account is to be taken as the amount of creditors as on 31 December 2001

	£
Dec 1 Purchases Ledger Balances	43,670
Totals for June:	
Purchases Journal	42,257
Returns Outwards Journal	4,098

Cheques paid to suppliers	48,760
Discounts received from suppliers	1,880
Cash paid twice in error to a supplier, now refunded 2,000	Balances in the
Purchases Ledger set off against	
Balances in the Sales Ledger	770
Dec 30 Purchases	?

3. The trial balance of Queen and Square Ltd revealed a difference in the books. In order that the error(s) could be located it was decided to prepare purchases and sales ledger control accounts.

From the following prepare the control and show where an error may have been made:

19-6	#
Jan 1 Purchases Ledger Balances 11,874	Sales Ledger Balances 19,744
Totals for the year 19-6:	
Purchases Journal 154,562	Sales Journal 199,662
Returns Outwards Journal 2,648	Returns Inwards Journal 4,556
Cheques paid to suppliers 146,100	
Petty cash paid to suppliers	78
Cheques and Cash received from customers	185,960
Discounts allowed	5,830
Discounts received 2,134	Bad Debts written off 396
Customer's cheques dishonoured	30
Balances on the Sales Ledger set off against balances in the Purchases Ledger	1,036
Dec 31 The list of balances from the purchases ledger shows a total of 14,530	and that from the sales ledger a total of 21,658

4. The following information relating to the year 2001 has been extracted from the books of Joytech . All purchases and sales have been entered in personal accounts in the Purchases Ledger and Sales Ledger respectively.

	£
Sales Ledger debtor balances 1 January 2001	64,490
creditor balances 1 January 2000	32,200
Receipts from customers (including # 760 in respect of a debt Written off as bad in 2000)	84,640
Payments to suppliers	48,490
Sales	158,120
Purchases 141,740	Returns inwards 2,860
Returns outwards	3,420

Bad debts written off in 2001	1,040
Increase in provision for doubtful debts at 31 December 2001	1,240
Received from suppliers in respect of overpayment 480	
Credit balance on sales ledger 31 December 2001	820

Required:

The sales ledger control account and the purchases ledger control account for 2001 showing the balance of debtors and creditors respectively as at 31 Dec. 2001.

LESSION 5

FINAL ACCOUNTS

OBJECTIVES:

At the end of the lesson you should be able to prepare and differentiate the various final account statements.

INTRODUCTION

Final accounts includes: -

- (i) Trading profit & loss A/C
- (ii) Balance sheet

Trading, profit & loss A/C

- Prepared by a trader who buys goods for sale.

Format

Two parts:

- Trading Account gives Gross profits
- Profit & loss A/C gives net profit

Horizontal format

Debits and credits on left and right hand respectively.

Trading Profit & Loss A/C
For the year ended 31 Dec. year

Cost of goods sold	xx <u>xx</u>	Sales	xx <u>xx</u>
Gross profit c/d	<u>xx</u>		
Expenses	xx <u>xx</u>	Gross profit b/d	xx <u>xx</u>
Net profit	<u>xx</u>	Net loss	<u>xx</u>

Vertical format

Trading Profit & Loss A/C For the year ended 31 Dec. year

Sales	xx
Cost of sales	<u>xx</u>
Gross profit	xx
Expenses	<u>xx</u>
Net profit (loss)	<u>xx</u>

Required for preparation of Trading, profit and loss account

- (i) Trial Balance (already covered)
- (ii) Establishment of cost of goods sold

The Establishment of cost of goods sold

Beginning inventory	xx
Add: purchases	xx
Goods available for sale	xx
Less: ending inventory	xx
Cost of goods sold	xx

Illustration

Fresher enterprises			
Trial balance			
As at 31/12/yr 2			
	DR		CR
Sales			1950,000
Purchases	610,000		
Rent	24,000		
Office expense	15,000		

Fixtures and fitting	600,000	
Equipment	350,000	
Debtors	580,000	
Creditors		480,000
Cash at Bank	789,000	
Cash in hand	25,000	
Drawings	70,000	
Stock 1/1/yr 2	550,000	
Depreciation exp.	95,000	
Acc. Depreciation		190,000
Capital		<u>1,088,000</u>
	<u>3,708,000</u>	<u>3,708,000</u>

Additional information

1. Stock as at 31/12/yr2 amounted 150,000/=

Required:

Prepare a trading, profit and loss A/C using.

- Vertical format and
- Horizontal format

Solution:

Vertical format

Fresher enterprises
Trading , profit and loss A/C
For the year ended 31/12/yrs

Sales		1,950,000
Cost of Goods Sold		
Stock 1/1/yr 2	550,000	
Purchases	<u>610,000</u>	
Available for sales	1160,000	
Less: stock 31/12/yr 2	<u>150,000</u>	<u>1,010,000</u>
Gross profit		940,000

Expenses

Rent	24,000	
Office exp.	15,000	
Depreciation exp.	<u>95,000</u>	<u>134,000</u>
Net profit		<u>806,000</u>
<u>Horizontal format</u>		

Fresher enterprises
Trading , Profit and loss Account
For the year ended 31/12/yr2

Stock 1/1/yr2	550,000	Sales	1,950,000
Purchases	610,000		
Available for sale	1,160,000		
Less: stock 31/2/yr 2	150,000		
COGS	1,010,000		
Gross profits c/d	<u>940,000</u>	-----	
	<u>1,950,000</u>	<u>1,950,000</u>	
	Expenses	Gross profit b/d	940,000
Rent	24,000		
Office exp.	15,000		
Depreciation	95,000		
Net profit	806,000		

			940,000 940,000
			=====

Expense A/C after closing

Rent A/C

31/12 yr 2 Bal.	24,000	31/12/yr 2 P & L A/C	24,000

Office expense

31/12 yr 2 Bal. b/f	15,000	31/12/yr 2 P & L A/C	15,000

Depreciation expense

31/12 yr 2 Bal. b/f	95,000	31/12 yr 2 Profit & A/C	95,000

Capital Account

--	--

31/12/yr 2 Drawing	70,000	1/1/yr 2 Bal B/d	1,088,000
31/12/yr2 Bal c/d	<u>1,824,000</u>	31/12/yr 12 Net profit	<u>806,000</u>
	<u>1,894,000</u>		<u>1,894,000</u>
		31/12/yr2 Bal b/d	1,824,000

Drawing A/C

31/12 yr 2 Bal. b/f	70,000	31/12 yr 2 capital A/C	70,000

Post Closing Trail Balance

Fixtures and fittings	600,000	
Equipment	350,000	
Debtors	580,000	
Creditors		480,000
Cash at Bank	789,000	
Cash in hand	25,000	
Stock 1/1/yr 3	150,000	
Acc. Depreciation		190,000
Capital		1824,000
	<u>2,494,000</u>	<u>2,494,000</u>

Preparation of a Balance Sheet using: -
 Vertical format
 - Horizontal format

Horizontal

Fresher enterprises

Balance sheet
As at 31/12/yr2

Fixed Assets		Capital	
Fixture & fittings	600,000	Balance 1/1/yr 2	1,088,000
Less. Acc Dep.	<u>120,000</u> 480,000	Add. Net Profit	
Equipment	350,000	For the year	<u>806,000</u>
Less Acc Dep.	<u>70,000</u> <u>280,000</u>		1,894,000
	760,000	Less: Drawing	70,000
			1,824,000
<u>CURRENT ASSETS</u>		<u>CURRENT LIABILITIES</u>	
Stock	150,000	Creditors	480,000
Debtors	580,000		
Bank	789,000		
Cash	25,000 1544,000		
	<u>2,304,000</u>		<u>2,304,000</u>

Vertical

Fresher Enterprises
Balance sheet
As at 31/12/yr2

Fixed Assets

Fixture& Fittings	600,000	
Less: Accumulated Depreciation	<u>120,000</u>	480,000
Equipment	350,000	
Less Accumulated Depreciation	<u>70,000</u>	<u>280,000</u>
		760,000

CURRENT ASSETS

Stock	150,000
Debtors	580,000
Bank	789,000
Cash	<u>25,000</u>
	1,544,000

CURRENT LIABILITIES

Creditors	<u>480,000</u>	<u>1,064,000</u>
		<u>1,824,000</u>
Financed by:		
Capital: Bal 1/1/yr2		1,088,000
Add. Net profit for the year		<u>806,000</u>
		1,894,000
Less Drawings		<u>70,000</u>
		<u>1,824,000</u>

Other Consideration

(i) Returns inwards and returns outwards.

- Returns inwards deducted from sales
- Returns outwards deducted from purchases

(ii) Carriage inwards and outwards Carriage or transport cost of goods:

- Into a firm is called carriage inward
- Out of a firm is called carriage outward

- Carriage inward is added to purchases carriage outward – an expense in profit and loss A/C.

Treatment of carriage-in, carriage-out, returns outwards and returns inwards.

1) Merchandising firm

Trading A/C (Vertical format:)

Sales	xx	
Less: returns inward	<u>xx</u>	xx
COGS		
Opening balance	xx	
Purchases	xx	
Less returns outwards	xx	
Add carriage	<u>xx</u>	<u>xx</u>
Goods available for sale	xx	<u>xx</u>
Less closing stock		<u>xx</u>
Gross profit		xx
Add: discount received		xx

NB/ Discount allowed are part of the expenses.

HORIZONTAL

Opening stock	xx	Sales	xx	
Purchases	xx	Less	returns inwards	<u>xx</u> xx
Less returns outward	xx			
Add carriage-in	<u>xx</u>	<u>xx</u>		
Available for sale	xx			
Less closing stock	<u>xx</u>			
Cost of goods sold	xx			
Gross profit cld	<u>xx</u>			
	<u>xx</u>	<u>xx</u>		

Manufacturing Accounts

In a manufacturing firm Inventory includes: Raw materials , Work –in-progress (W-I-P) and finished products.

Product costs are those costs necessary for the manufacture of a product. These are considered when preparing a manufacturing statement or account. These costs are transferred to cost of goods sold when a sale is recorded. This statement gives the cost of goods manufactured used in the Trading Account.

Schedule of cost of goods manufactured.

Direct Materials

Inventory (opening)		XX
Purchases	XX	
Less: returns outward	XX	
Add: carriage-in	<u>XX</u>	<u>XX</u>
Cost of Raw Material available for use		XX
Inventory ending		<u>XX</u>
Direct material used		XX
Direct labour		XX
Factory overhead (indirect manufacturing Costs)		<u>XX</u>
Manufacturing costs incurred during the period		XX
Add: Work-in-process inventory (opening)		<u>XX</u>
Manufacturing costs to account for		XX
Less: W-I-P (closing)		<u>XX</u>
Cost of good manufactured		XX

Trading Profit & Loss A/C

Sales	XX
Less: cost of goods sold	

Finished goods: Opening balance	xx	
Cost of goods manufactured	<u>xx</u>	
Cost of goods available for sale	xx	
Finished goods: ending balance	<u>xx</u>	
Cost of goods sold		<u>xx</u>
Gross margin		xx
Less: S. admin (operating exp)		<u>xx</u>
Operating income		xx

ILLUSTRATION

Year 4 Data

1 Jan Yr 4 Stock of Raw materials	1,600
31/Jan Dec yr 4 Stock of Raw Material	2,100
1 Jan yr 4 W-I-P	700
31- Dec- yr 4 W-I-P	840
Wages: Direct	7,920
Indirect	5,100
Purchases of Raw Materials	17,400
Fuel and Power	1,980
Direct expenses	280
Lubricants	600
Carriage inwards on raw materials	400
Rent for factory	1,440
Depreciation of factory plant & machinery	840
Internal transport expenses	360
Insurance of factory buildings & plant	300
General factory expenses	660

Prepare
Manufacturing A/C

Solution:

Manufacturing A/C
For the year ended 31st Dec. year 4

Raw material used:

1 Jan Yr 4 Stock of Raw materials		1,600
Add:Purchases of Raw Materials	17,400	
Carriage inwards on raw materials	<u>400</u>	<u>17,000</u>
Available for use		18,600
Less:31/Jan Dec yr 4 Stock of Raw Material		<u>2,100</u>
Raw material used		16,500

Labour cost:

Wages: Direct	7,920
Direct expenses	<u>280</u>
Prime costs	24,700

Factory Overhead

Wages: Indirect	5,100
Fuel and Power	1,980
Lubricants	600
Rent for factory	1,440
Depreciation of factory	
plant & machinery	840
Internal transport expenses	360
Insurance of factory buildings & plant	300
General factory expenses	<u>660</u>
	<u>11,280</u>

Current Manufacturing costs	35,980
Add: 1 Jan yr 4 W-I-P	700

Less: 31- Dec- yr 4 W-I-P	<u>840</u>
Cost of goods manufactured	<u>35,840</u>

Key Words

Carriage inwards: Cost of transport of goods into a business

Carriage outwards: Cost of transport of goods out to the customers of a business

Final accounts: Term that includes the trading and profit and loss accounts and balance sheet

Main points to remember

1. Carriage inwards is shown as an expense item in the trading account.
2. Carriage outwards is shown as an expense in the profit and loss account.
3. In the second and later years of a business, both opening and closing stocks are brought into the trading account.
4. It is normal practice to show cost of goods and sold as a separate figure in the trading account.
5. Expense items concerned with getting the goods into a saleable condition are charged in the trading account.
6. Returns inwards should be deducted from sales in the trading account.
7. Returns outwards should be deducted from purchases in the trading account.
8. For goods imported from abroad, the costs of import duty , insurance and freight are treated as part of the cost of goods sold.

PROBLEMS

1. From the details draw up the trading account of Trolly for year 1 for his business. £

Carriage inwards	6,750
Returns outwards	3,950
Returns inwards	1,890
Sales	79,740
Purchases	63,530
Stocks of goods: 31 December year 1	27,480

2. The following details for the year ended 31 Dec 2001 are available, for ABC Ltd.

	£
Stocks: 31 Dec 2001	18,504
Returns inwards	1,372
Returns outwards	2,896

Purchases	53,397
Carriage inwards	1,122
Sales	54,600

Required:

Prepare a Trading Account

3. From the following trial balance of Gramiro Co. draw up a trading and profit and loss account for the year ended 31 March 2001 and a balance sheet as at that date.

	Dr £	Cr £
Stock 1 April 2000	2,3680	
Carriage outwards	2,200	
Carriage inwards	3,100	
Returns inwards	1,205	
Returns outwards		1320
Purchases	99,870	
Sales		181,210
Salaries and wages	3,8620	
Rent	3040	
Insurance	880	
Motor expenses	5640	
Office expenses	1210	
Lighting and heating expenses	1160	
General expenses	3145	
Building	75000	
Motor vehicles	21800	
Fixtures and fittings	4350	
Debtors	8890	
Creditors		3740
Cash at bank	1480	

Drawings	1000	
Capital		<u>110,000</u>
	<u>296,270</u>	<u>33,289</u>
Stock at 31 2001 was £20,940		

4. The following is the trial balance of Toy Enterprise as at 31 Dec 2001.

	Dr	Cr
Stock 1 Jan 2001	15160	
Sales		101,560
Purchases	65,185	
Carriage inwards	410	
Carriage outwards	1,570	
Returns outwards		630
Salaries and wages	10,240	
Rent and rates	3,015	
Advertising expenses	524	
Commissions payable	226	
Insurance expense	415	
Office expenses	800	
Buildings	30,000	
Debtors	14,320	
Prepaid insurance	400	
Creditors		8,150
Fixtures and fitting	22,000	
Cash at bank	3,970	
Cash in hand	105	
Drawings	7,000	

Capital		70,000
Depreciation expense	5,000	
Accumulated depreciation		18,000
	<u>180,340</u>	<u>180,340</u>

Required

Draw up a set of final accounts for the year ended 31st Dec 2001.

5. The Accountant of Joytech extracted the following trial balance as at 30 June

	Dr £	Cr £
Capital		42,000
Drawings	5,000	
Cash at bank	13,015	
Cash in hand	1,290	
Debtors	14,300	
Creditors		10,370
Stock 1 July 2001	20,910	
Motor van	14,100	
Office equipment	16,250	
Sales		132,520
Purchases	82,100	
Returns inwards	500	
Carriage inwards	210	
Returns outwards		1300
Carriage outwards	300	
Motor expenses	1,530	

Rent	1,970	
Telephone charges	305	
Wages and salaries	15,810	
Insurance	600	
Depreciation expense	1,300	
Accumulated depreciation		3,300
	<u>189,490</u>	<u>189,490</u>

Stock at 30 June 2001 was £ 27,475.

Required:

Prepare Trading Profit and Loss Account for the year ended 30th June 2001 and a Balance sheet as at that date.

LESSION 6:

INCOMPLETE RECORDS

OBJECTIVES:

This lesson introduces you to preparation of financial statements using incomplete records. At the end of the lesson you should:

- Understand and appreciate why business keep in complete records
- Be able to prepare financial statement from incomplete records including determination of ending Balance of creditors, debtors and stock

Background of Incomplete records

Many small business organizations do not reap a full set of adequate accounting records because they have neither the time nor the necessary experience to do so. Sole traders, in particular keep only partial or incomplete records and rely on the services of an accountant to write up their accounts at the end of the financial year. This is required for the purposes of calculating the taxation due to the Kenya Revenue Authority and also to have some idea of how the business has performed.

Some financial data are available, of course, because all businesses need to have essential information such as:- how much they owe suppliers.

How much customers owe them.

How much cash is available.

How much VAT is payable to customs i.e. Excise, etc.

Because of these reasons the accountant is able to use the financial information which may be available, like invoices, credit notes, back statements, receipts for cash, etc., to prepare a set of accounts (that is the trading and profit and loss account and balance sheet).

From incomplete financial data, therefore, it is still possible to reconstruct accounts by relating and piecing them together in order to prepare the final accounts.

Procedure for Reconstructing Accounts

The procedure for reconstructing accounts using incomplete records using incomplete records is varied. Many accountants like to use a worksheet which shows a logical sequence of working extending to a trial balance. Any adjustments such as accrued and prepayments may also be included, and the final accounts can then be prepared. The following method is a basically simple procedure which pieces the accounts together without necessarily resorting to a worksheet:-

Establish the owner's capital (networth) at the beginning of the financial year by listing his assets against the liabilities.

Prepare the bank/cash summary in the form of a simplified cashbook which will identify receipts and payments of money into and out of the business. The accountant would do this from records such as bank statements, till rolls, etc.

Establish the sales and purchases for the year from the reconstruction of debtors' and creditors' accounts. Financial data available to the accountant could come from invoices, credit notes, cheques stubs, statements, cash receipts, etc.

Prepare the trading and profit and loss accounts including items for adjustments, and the balance sheet for the year under review.

The role of the accountant in this capacity is to prepare the final accounts of the business as accurately as possible from the given financial data available. He does not audit the accounts.

Statement of Affairs

The statement of affairs is equivalent to the balance sheet where double entry records are kept. It has assets and liabilities of a business in arriving at the net worth, which is equivalent to the owner's capital.

Where no other records are maintained, we can calculate the profit by comparing the net worth of a business at the start of a period with that at the end. The profit will be the increase in the net worth, plus any drawings by the owner less any capital introduced by him.

The Trading And Profit And Loss Account

In order to prepare the trading and profit and loss account, it is necessary to work from detailed cash and bank transactions. You should be prepared to reconstruct these from the information given. You may have to insert opening or closing cash and/or bank balances as balancing figures. Alternatively, you may be given opening and closing balances but required to insert owner's drawings or expenses as a balancing figure.

Even if not required by the question, you are recommended as a first step in incomplete record questions to start a workings page with the reconstructed cash and bank transactions. Once this is done, you can then start to calculate the other items as follows:-

- (i) Sales will be receipts from debtors and cash sales, plus closing debtors, less opening debtors. Also add back any discounts allowed.
- (ii) Purchases will be payments to creditors and cash purchases, plus closing creditors, less opening creditors. Also add back any discounts received.

You may prefer to ascertain the figure by constructing a debtors and/or creditors control account. This would equally be acceptable.

In some questions you may not be given enough information to calculate sales and purchases by the above method. Instead, you may be told the margin (gross profit as a % of sales) or mark-up on purchase price. In this case calculate the figures which you are able to and insert the missing value as a balancing figure.

Example 6.1

E.T. Nyambane is a sole trader in business as an electrician. He uses his garage at a small workshop but most of his business is on contract with clients which takes him to various parts of the locality where he works.

On 1 January, his statement of affair at the beginning of the financial year was as shown in the table below.

E.T. Nyambane statement of affairs, 1 January

	£	£
Tools & Equivalent	250	
Motor Vehicle	950	
Debtors	2150	
Bank Balance	1970	
Stock	<u>3180</u>	8500 Creditors
Capital – 1 January		<u>2800</u>
		<u>5700</u>

From bank statements, till roles, cheque book records and other sources, it is possible to draw up a bank summary to establish where money has come from and where it has gone, as well as calculating the bank/cash balance at the end of the financial year. E.T. Nyambane's records provided the bank summary shown below on 31 December.

E.T. Nyambane: Bank Summary

Receipts	£	Payments	£
Bank Balance (1 Jan)	1,970	Payments to Suppliers	30125
Receipts from customers	39,750	Personal Drawings	3880
Cash sales	2,185	Wages (Assistants)	4375
		General Expenses	560
		Motoring Expenses	835
		Insurance	160

	Telephone & Rates	395
	Light & Heat	170
	Advertising	350
	Bank Balance (31 Dec.)	<u>3055</u>
<u>43905</u>		<u>43905</u>

The figures from the bank summary are used to help reconstruct the final reports. At the end of the financial year, E.T. Nyambane had £3055 in the bank, an increase of £1085 from the beginning of the year. As receipts from debtors and payments to suppliers do not necessarily correspond with the sales and purchases totals, it is therefore necessary to construct the debtors' and creditors' accounts in order to arrive at the sales and purchase details .

Sales for the year

Sales Ledger Control Account

<u>DR</u>	£	<u>CR</u>	£
January 1 Balance b/f	2,150	Bank/Cash	39,750
Dec. 31 Sales	41,125	Discount allowed	650
		Returns inward	200
	<u> </u>	Balance Dec. 31	<u>2,675</u>
	43,275		43,275

To reconstruct debtors in order to find the sale, the opening debtors balance (2150) is subtracted from the total of the CR column (£43,275) = £41,125.

Purchase for the year

Purchases Ledger Control Account

	DR £		£CR
Bank/Cash	30125	January 1 Balance	2800
Discount received	875	Dec. 31 purchases	3272
Returns outward	1350		
December 31 Balance	<u>3170</u>		
	<u>35520</u>		<u>35520</u>
	=====		=====

To reconstruct creditors in order to find the purchase, the opening creditors balance of CR is subtracted from the total of the DR column (£35520) = £32720. E.T. Nyambane had for the year ended 31 December:

Discount allowed	£650
Discount received	£875
Returns Inward	£200
Returns outward	£1350
Closing debtors	£2675
Closing creditors	£3170

The only other information required before preparing the final accounts is to check on any adjustments such as accruals, prepayments and depreciation. The stock position at the end of the financial year must also be calculated by the owner.

The table below shows information that was available relating to E.T. Nyambane on 31 December:-

		£
Stock	3246	Electricity owing
		35 Depreciation:
Tools & equivalent	200	Motor Vehicle
		100
Creditors' Balances		3,170
Debtors' Balances		2,675

The table below gives the trading and profit and loss accounts and the balance sheet of E.T. Nyambane.

Trading and Profit and Loss Account for the year ended 31 December.

	£	£
Sales (Credit)	41,125	
Cash Sales	2,185	
Returns Inward	<u>(200)</u>	43110

Cost of Sales			
Stock (1 Jan.)	3,180		
+Purchases	3,272		
-Returns outwards	<u>(1,350)</u>		
Available for sale	34,550		
-Stock (31 December)	<u>3246</u>	<u>31,304</u>	Gross Profit
11,806			
Expenses:	Wages (Assistant)	4375	
General Expenses	560		
Motor Expenses	835		
Telephone & Rates	395		
Light & Heat	205		
(+35accrued)			
Advertising	350		
Discount allowed	650		
Depreciation (tools, motor)	120		
Insurance	<u>160</u>	<u>7,650</u>	
		4,156	
+Discount received		<u>875</u>	
Net Profit		5,031	
		=====	

E.T. Nyambane
Balance Sheet as
at 31 December

£ £

Fixed Assets

Tools & Equipment	250	
-Depreciation	<u>20</u>	230
Motor Vehicle	950	
-Depreciation	<u>100</u>	<u>850</u>
Net fixed assets		1,080

Current Assets

Stock	3246	
Debtors	2675	
Bank	<u>3055</u>	8976

Current Liabilities

Creditors	3170	
Accrued Expenses Working Capital	<u>25</u>	<u>3,205</u>
		<u>5,771</u>
		6,851

Financed by

Capital (E.T. Nyambane)

(January 1) 5,700

+Net Profit 5,031

10,731

-Drawings	3,880	6,851
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Example 2

You have just completed a business studies course and have been asked by an old school friend, J. Starky to have a look at his books. J. Starky has been running a retailing business for the past year and needs to know what his state of affairs is for taxation purposes.

J. Starky's summary cash book for the year ended 31 March 19-5 is as shown below:

J. Starky's Summary Cash Book

	£		£
1/4/19-4 Balance b/f	10000	Payment of Suppliers	157340
Cash Sales	50000	Cash Balances	7880
		Rent	22500
Cash received from debtors	219500	Rates	900
		Salaries	13080
		Wages	30500
		General Expenses	22000

	Drawings	15000
	31/3 Balance C/F	<u>10300</u>
279500		279500
=====		=====

His assets and liabilities were as shown below:-

Assets and Liabilities:

	£	£
	1 April 19-4	31 March 19-5
Creditors for goods	28400	30010
Rent Owing	1000	500
Stock	54000	53000
Debtors	46600	55700
Prepaid rates	170	295
Fixtures & Fittings	10000	7500

In preparing the accounts you decide:- to depreciate the vehicle by 33 1/3% to depreciate the fixtures and fittings by 10% to make provision for bad debts of 5% to assume (based on J. Starky's estimate) that J. Starky has taken £1000 worth of goods from the business for his own use.

Solution

Calculation of sales and purchases: as per the requirements of the mataling (accounts concept we should include the cost of purchases made in the year and the value of sales generated in the final accounts which is not the same as payments made & bank receipts.

Sales Ledger Control Account

¼ balance B/F	46600	Cash from debtors	219500
Credit sales	<u>228600</u>	31/3 balance C/d	<u>55700</u>
	275200		275200
	=====		=====

*Balancing Figure

Purchases Ledger Control Account

Payments to Suppliers	157340	¼ balance b/f	28400
31/3 balance c/d	<u>30010</u>	Credit Purchases	<u>158950</u>

187350

187350

Now we prepare J. Starky's Trading and Profit and loss account and the balance sheet.

J. Starky

Trading and Profit and Loss Account for the year ending 31 December, 19 – 5

	£	£	£
Sales			278600
Less cost of sales:			
Opening stock		54000	
Purchases	166830		
Less goods for own use	(1000)	<u>165830</u>	
		219830	
Closing stock		<u>53000</u>	<u>166830</u>
Gross Profit			111770
Rent (22500-1000+500)*		22000	
Rates (900+170+295)*		775	
Salaries		13080	
Wages		30500	
General Expenses		22000	
Depreciation in vehicle		2500	
Depreciation fixtures & fittings		1000	
Provision for bad debts (5%)		<u>2785</u>	<u>94640</u>
Net Profit			<u>17130</u>

*Both rates and rent figures have to be adjusted in respect of opening and closing accounts and prepayments.

J. Starky
Balance Sheet as
at 31 March, 19-5

	£	£	£
	Cost	Depreciation	Net
Fixed Assets			
Fixtures & Fittings	10,000	1,000	9,000
Vehicle <u>2,500</u>	<u>7,500</u>		<u>5,000</u>
	17,500	3,500	14,000
	=====	=====	=====
Current Assets			
Stock	53,000		
Debtors (55000 – 2785)	52,915		
Prepayments	295		
Bank	<u>10,300</u>	116510	
Current Liabilities			
Creditors	30,010		
Accrued Rent	<u>500</u>	<u>30510</u>	
Working Capital			<u>86,000</u>
			100,000
			=====
Financed By:			
Capital			98,870
Add Profit			17,130
Less Drawings			<u>(16,000)</u>
			100,000
			=====

Example 3:

Nebuchadnazer, a manufacturer of wire baskets, keeps a few accounting records and is able to provide only the following information for the financial year ended 30 September 1995.

	1 October 1984	30 Sept. 1985
	£	£
Cash	600	350
Bank Overdraft	1000	1860
Creditors	2300	2600
Debtors	1500	3300
Rent Prepaid	200	400
Plant and Equipment:		

At cost less depreciation to date	5000	?
Stocks at cost: raw materials	2000	2710
Finished goods	4000	3260
J. Green		310

In addition the following information is available.

J. Green, a regular customer, has paid £310 in advance for an order of 4 baskets due to be delivered in November, 1985.

It is Nebuchadnezer's policy to depreciate the plant & equipment in his possession at the end of the financial year at the rate of 10% of the book value. During the year ended 30 September 1985, he purchased a new item of plant at cost of £1500. In addition a business associate has told Nebuchadnezer that a wire cutting machine similar to the one used in his business, which had a book value of £500 has recently been sold for £1400.

Included in the stock of finished goods on 30 September 1985 were some specially designed baskets which had cost £590 to produce and which will be dispatched to a customer during October invoiced at £950. In addition, finished goods costing £400 which were delivered to customer on a sale or return basis have been excluded from the closing stock figure.

Included in the stock of raw materials on 30 September 1985 were some metal strips which cost £550 but which are unsuitable for use in production due to a modification in design. The metal strips have a scrap value of £120.

During the year, Nebuchadnezer had withdrawn £5000 in cash from the business receipts. In April 1985, he accepted for his own use a supply of wire valued at £300 from a supplier in full settlement of a debt of £400.

Required:

A detailed calculation of the profit of Nebuchadnezer for the year ended 30 September 1985. A statement of affairs of Nebuchadnezer as at 30 September, 1985

Solution

a. Calculation of Capital Balances:

	1 October 1984	30 Sept. 1985
£	£	£
Cash	600	350
Debtors	1500	3300
Rent Prepaid	200	400
Plant & Equipment(Note 1)	5000	5850
Stock of raw materials(Note 2)	2000	2280
Stock of finished goods(Note 3)	<u>4000</u>	<u>3360</u>

	13300		15840
Less J. Green		310	
Bank Overdraft	1000	1860	
Creditors	<u>2300</u>	<u>3300</u>	<u>4770</u>
Net Worth (hence Capital) Notes:	<u>10000</u>		<u>11070</u>
1. Plant as at 1 October 1984			5000
Add Purchases			<u>1500</u>
			6500
Less depreciation at 10% of £6500			<u>650</u>
			<u>5850</u>
			=====

Note that realisable value is irrelevant for fixed assets.

2. £2710 less £430 reduction in value to realisable value.

3. £3260 plus £400 goods omitted.

Nebukadnezer's profit is then	£
Increase in net worth (£11070 - £10,000)	1070
Add amounts in withdrawn: Cash	5000
Goods in settlement of debt	<u>300</u>
	<u>6570</u>
	=====

b. Nebukadnezer: statement of affairs as at 30 September 1985

£	£	£ Fixed Assets	5850
Current Assets			
Stock		5940	
Debtors: Prepayments		3700	
Cash		<u>350</u>	
		9990	
Less Current Liabilities			
J. Green	310		
Creditors	2600		
Bank Overdraft	<u>1860</u>	<u>4770</u>	

Working Capital	<u>5220</u>
Net Worth	<u>11070</u>

PROBLEMS

- 1 S. Olsen, a wholesaler did not keep proper books of account. The following information on his business was available on 31 March 1984: £

Longterm loan	10,000
Motor Vehicles	16,500
Trade debtors	23,650
Balance at bank	10,500
Fixtures & Fittings	12,000
Premises	50,000
Stock	12,500
Trade Creditors	14,500
Cash in Hand	3,400
Accrued general expenses	450

The balance at bank above included private investment income of his wife. This income arose from interim dividend of 5% and a final dividend of 11% on 10,000 ordinary shares of 50 per each.

The following information for the year ended 31 March 1985 was extracted from the cash book:

	Cash £	Bank £		Cash £	Bank £
Opening Balances	3,400	10,500	Cash Purchases		26,500
			Drawings		7,700
Receipts from	138,500		Payments to Creditors		74,800
trade Debtors			Salaries & Wages	1,500	4,500
			Heating and Lighting		1,500
			Motor vehicle		
			Expenses	180	4,020
			General Expenses	270	2,230
			Receipts from trade		
			Debtors banked		138,500

Additional Information:

Discounts received during the year amounted to £1,100.

Olsen calculates his selling price by adding 25 per cent profit on cost. All the goods sold in the year were sold at this mark-up except for £6,400 of the opening stock, which was marked up by 12 ½ per cent only.

All receipts from trade debtors were entered in the cash account, but the total amount received has not been recorded properly. The figure for banking has been ascertained from bank statements.

Depreciation to be provided:

-Motor vehicles 20 per cent of book value

-Fixtures and fittings 10 per cent of book value

-£1,000 salaries and wages were owing at 31 March 1985.

-Interest at 11 per cent per annum on the long-term loan is to be provided for.

-Other balances at 31 March 1985 were: Closing

stock £15,700

Trade Creditors £19,300

Trade Debtors £11,000

REQUIRED

- a. A trading and profit and loss account for the year ended 31 March 1985.
- b. A balance sheet as at 31 March 1985.
- c. A concise statement giving three distinct advantages that a computerised accounting system could bring to Olsen's firm.

Question 2

R. Gregg is a small wholesaler whose accounting year ends on 31 March each year. Because of staff shortages he was unable to complete his stocktaking on 31 March 1986 and this was not done until 6 April.

On that date the stock was valued at £102,450.

You offer to assist Gregg to calculate his stock as at 31 March and the following facts are found:

- a. A sale or return invoice from a supplier value £5,700 had been included in the stock sheets. No entry had been made in the accounting records for the delivery and none of the goods had been sold.
- b. Sales invoices during the period 31 March to 6 April amounted to £58,900: of this total, £3,840 covered goods despatched before 31 March. Gregg adds 25 per cent mark-up to cost.
- c. Suppliers' invoices received during the same period totalled £35,800: of this total, £1,580 covered goods received after 6 April.
- d. Stock sheet totals were incorrectly carried forward: on 31 December £102,403 was carried forward as £104,203 and on 28 February £83,200 was carried forward as £82,300.

- e. Returns to suppliers between 31 March and 6 April amounted to £1,820 and returns from customers at selling price were £4,740. Of the returns from customers, £1,380 had been marked up by 15%. None of these returns had been entered on the stock sheets.

Required

Prepare a statement showing the value of stocks at 31 March 1986.

Question 3

Len Jackson, a retailer who does not keep full accounting records, provided the following summarised bank account for the year ended 31 March 1984:

1984	£	1983	£
31 March Cash Receipts	86,020	1 April Balance b/d	1,400
Sale of fixed assets	1,500	1984	
of private		31 March Payments to trade	
Motor Car	5,000	Creditors	76,000
		Purchase of fixed assets	6,000
		Rates	2,000
		General expenses	4,500
		Balance c/d	<u>2,620</u>
	<u>92,520</u>		<u>92,520</u>

The following information is also available:

	31, March 1983	31 March 1984
	£	£
Premises	10,000	10,000
Stock	8,300	3,100
Trader Creditors	1,610	3,600
Fixed assets	3,000	7,000
General Expenses Owing	130	350
Warehouse rent accrued	-	?

Before banking the receipts from cash sales Jackson withdrew £50 cash per week as drawings and paid wages of £120 per week. Although owning his own freehold shop, owing to lack of storage space Jackson rented a warehouse for £2,500 for the year. Unfortunately the warehouse rented

proved to be unsuitable and as a result Jackson had to discard some stock that was damaged by damp. The value of the stock discarded was not recorded and is not covered by insurance. However, Jackson has agreed with the owner of the warehouse that half of the stock loss can be deducted from the warehouse rent. A standard gross profit of 20 per cent on the cost of goods sold is earned.

REQUIRED

- a. A trading and profit and loss account for the year ended 31 March 1984.
(11 marks)
- b. The balance sheet as at 31 March 1984.
(6 Marks)

QUESTION 4

Ivan Cavell a sole proprietor did not keep proper books of account. Currently he was in the process of seeking a loan in order to finance further business development. Cavell produced the following financial information that could be used in the support of his loan application.

Net Profit /(loss) for The year ended 31 May			
		£	
1987		30,000	
1988		(10,000)	1989
1990		61,000	40,000
1991		78,000	

The above figures have been compiled on the basis of an increase/decrease in net assets.
Summarised Revenue Statement
For the year ended 31 May 1992

	£	£
Sales		338,000
Less cost of Goods sold		<u>194,000</u>
Gross Profit		144,000
Variable Expenses	35,000	
Fixed Expenses	<u>20,000</u>	<u>55,000</u>
Net Profit		<u>89,000</u>

Extract from Summarised Balance Sheet
As at 31 May 1992

	£	£
Fixed assets at net book value		290,000
Current assets		
Stock	40,000	
Trade Debtors	38,500	
Balance at bank	42,800	
Cash	11,700	
	133,000	
Less Current Liabilities		
Trade Creditors	59,000	74,000
Net assets		364,000

ADDITIONAL INFORMATION

1. All Cavell's sales are on credit. The sales for the year ended 31 May 1992 have been estimated from the weekly amounts received from trade debtors as follows:
Weekly sales receipts from trade debtors £6,500 x 52
Trade debtors as at 1 June 1991 were £43,000
2. In order to present his business as being in a good financial position he valued his stock on 31 May 1992 at the selling price of £40,000 instead of the cost price of £30,000.
3. On 31 March 1991 a fire in a warehouse destroyed stock which cost £25,000. After protracted negotiations with his insurance company it was agreed that £14,000 would be paid in compensation. No account had been taken of this item in the above financial information and to date no cash had been received.
4. During 1988 Cavell and his family went on a world cruise which cost £30,000. He decided to charge this against the business in 1988 because the family had not been on a holiday for years and he felt like a good rest.
5. Cavell owed £7,000 for variable expenses as at 31st May 1992 but this amount had not been included in the draft revenue statement on balance sheet.
6. His fixed assets at 31 May 1992 included redundant fixtures and fittings at a net book value of £15,000. It was estimated that they could only be sold for £1,800 as scrap.

REQUIRED

- a. (i) Revised net Profits/losses for the years ended 31 May 1987-1991 inclusive.
(ii) A revised revenue statement for the year ended 31 May 1992 and a revised balance sheet as at that date. (11marks)

- (iii) An explanation of which accounting concepts are relevant as a basis for making adjustments in each of the items (1) to (6) above.
- c. An explanation of the net assets method of calculating profits/losses when a business keeps incomplete records. Critically evaluate this method.

LESSION 6

PARTNERSHIP ACCOUNTS

OBJECTIVES

This lesson introduces you to partnership accounts showing clearly the broad accounting methods used and how partners share the profits/losses. At the end of the lesson you should be able to:-

- (vii) Understand the types of partners and the advantages of such a entity
- (viii) Know and understand the underlying accounting practices of the partnership accounts
- (ix) Understand the process of profit appropriation

DEFINITION

A partnership is defined as “the relationship which subsists between two or more persons carrying on a business in common by all or anyone of them acting for all with a view of profit.”

In the provisions and in businesses which stress the factor of personal service the partnership form of organization is widely used. The laws of state may even deny the incorporation privilege to persons engaged in such professions as medicine ,law and public accounting ,because the personal responsibility of the professional practitioner to his or her client might be lost behind the impersonal legal entity of the incorporation. however in recent years ,a number of states have passed legislation extending the privilege of incorporation to the member of these professions.

In the field of manufacturing ,wholesaling and retail trade ,partnerships are also popular because they afford a means of combining the capital and abilities of two or more persons. Perhaps the most common factor which impets an individual to seek a partner is the lack of sufficient capital to begin or expand a business. A partnership is often referred to as a firm.”

SIGNIFICANT FEATURES OF A PARTNERSHIP

1. Ease of formation

A partnership can be formed without any legal formalities. When two persons agree to become partners, a partnership is automatically created. The voluntary aspect of a partnership agreement means that no one can be forced into a partnership or forced to confine as a partner.

2. Limited life

A partnership may be ended at any time by the death or withdrawal of any member of the firm, bankruptcy or incapacity of a partner, the expiration of the period specified in the partnership contract or the completion of the project for which the partnership was formed. The admission of a new partner or the retirement of an existing member means an end to the old partnership, although the business may be continued by the formation of a new partnership.

3. Mutual agency

Each partner acts as an agent of the partnership, with authority to enter into contracts for the purchase and sale of goods and services. The partnership is bound by the acts of any partner as long as these acts are within the scope of normal operations. The factor of mutual agency suggests the need for exercising great caution in the selection of a partner. To be in partnership with an irresponsible person or one lacking integrity is an intolerable situation.

4. Unlimited liability

Each partner is personally responsible for all the debts of the firm. The lacking of any ceiling on the liability of a partner may deter a wealthy person from entering a partnership. A new member joining an existing partnership may or may not assume liability for debts incurred by the firm prior to his or her admission. A partner withdrawing from membership must give adequate public notice of withdrawal; otherwise the former partner may be held liable for partnership debts incurred subsequent to his or her withdrawal. The retiring partner remains liable for partnership debts existing at the time of withdrawal unless the creditors agree to release his obligation.

5. Co-ownership of partnership property and profits

When a partner invests a building, inventory or other property in a partnership, he or she does not retain any personal right to the assets contributed. The property becomes jointly owned by partners. Each member of a partnership also has an ownership right in the profits.

Advantages of partnership

1. There is an opportunity to bring together sufficient capital to carry on the business.
2. There is an opportunity to combine special skills as, for example, the specialized talents of an engineer and an accountant may also induce individuals to join forces in a partnership.
3. The formation of a partnership is much easier and less expensive than the organization of a corporation.
4. Operating as a partnership may produce income tax advantages. The partnership itself is not a legal entity and does not have to pay income taxes on their respective shares of the firm's income.

5. Members of partnership enjoy more freedom and flexibility of action than do the owners of corporation and partners may withdraw of funds and make business decisions of all types without the necessity of formal meetings or legalization procedures.

Limitations

Limited life

Unlimited liability

Mutual agency

If a business is to require a large amount of capital ,the partnership is a less effective device for raising funds than is a corporation.

The partnership contract

Although a partnership can generally be formed without any written agreement, it is highly desirable that a written contract of partnership be prepared by an attorney, setting forth the understanding between partners on such matters as the following :

1. The name ,location and nature of business
2. Names of the partners, and the duties and rights of each
3. Amount to be invested by each partner
4. Procedure for valuing any non cash assets invested or withdrawn by partners
5. Procedure for sharing profits and losses
6. Withdrawals to be allowed each partner
7. Provision for insurance on the lives of partners with the partnership or the surveying partners named as beneficiaries .
8. The accounting period to e used
9. Provision of periodic audit by certified public accounts
10. Provision of arbitration of disputes

Provision for dissolution .This part of the agreement may specify a method for computing the equity of a retiring or deceased partner and a method of settlement which will not disrupt the business.

Rights and duties of partners

Unless otherwise provided in the partnership deed, the provisions of the partnership act will apply and may be broadly summarized as under:

Rights of partners:

1. Every partner has the right to take part in the conduct and right of the business
2. Every partner has a right to be consulted as heard in all matters affecting the business of the partnership
3. Free access to all records ,books of accounts and also examine and copy them
4. Share in the profits equally
5. A partner who has contributed more than the agreed share of capital is entitled to interest at 6% per annum, but no interest can be claimed on capital

6. A partner is entitled to be indemnified by the firm for all acts done by him in the course of the partnership business
7. Every partner is as a rule ,a joint owner of the property. He is entitled to have the property used exclusively for the purposes of the partnership.
8. Every partner is entitled to prevent the introduction of a new partner into the business without his consent.
9. Every partner has a right to retire according to the deed or with the consent of other partners.
10. Right to continue in the partnership
11. A retiring partner or heirs of the deceased partner are entitled to share in the profits earned with the of the proportions of assets belonging to such partner or interest at 6% per annum at the option of the outgoing partner until the accounts are finally settled.

Duties of partners

1. Every partner is bound to diligently carry on the business of the firm to the greatest common advantage
2. Every partner must be just and faithful to the other partners.
3. A Partner is bound to keep and render time, proper and correct accounts of the partnership and must permit other partners to inspect and copy such accounts.
4. Every partner is bound to indemnify the firm for any loss caused by his willful neglect or fraud in the conduct of the business.
5. A partner must not carry on competing business nor use the property of the firm for private purposes.
6. Every partner is bound to share the losses equally with others.
7. A partner is bound to act within the scope of his authority.
8. No partner can assign or transfer his partnership interests to any other person so as to make him a partner in the business.

POWERS OF PARTNERS:

1. Buy and sell goods on behalf of the firm
2. Receive payments on behalf of the firm and give valid receipts
3. Draw cheques and draw, accept and endorse bills of exchange and promissory note on behalf of the firm .
4. Borrow money on behalf of the firm with or without Pledging the stock in trade.
5. Engage servants on behalf of the firm.
6. In the absence of any express or implied agreements between the partners relating to their interests in the partnership properly, the following rules hold
 - All partners are entitled to share equally in the profits of the business and must contribute equally towards losses.

- A partner is not entitled, before the ascertainment of profits, to interest on capital subscribed.
- No partner can claim remuneration, as a matter of right, for acting in the partnership business.
- A partner is entitled to interest at 6% on amounts lent to the firm.

Liability of partners

Every general partner in a firm is liable jointly with the other partners for all debts and obligation of the firm incurred while he is a partner is and after his death his estate is also severally liable in and due course of administration for such debts and obligations, so far as they remain unsatisfied, but subject to the prior payment of his separate debts.

Variation of the terms of partnership.

The mutual rights and duties of partners, whether ascertained by agreement or defined by partnership and may be varied by the consent of all partners.

Expulsion of Partner

No majority of the partners can expel any partner unless a power to do so has been conferred by express agreement between the partners.

PARTNERSHIP ACCOUNTS AND DIVISION OF PROFITS

Partnerships accounts are based on the usual principle of “double entry” and do not present much difficulty except where there is admission, retirement or death of a partner or dissolution of a partnership. profit and loss accounts are prepared in the usual way and the balance sheets are also prepared in the usual manner. The only point worth remembering is regarding the distribution of profits after charging interest on capital, drawings, and salaries (if any) to the pal account. In other words, before ascertaining the profits which are divisible in the agreed proportions, adjustments are required to be made in respond of interest on capital, interact on drawings and partners salaries (if any).

Interest on capital

Where capital is contributed in certain proportions is sharing of profits or losses is not in proportion to capital, interest on capital is generally calculated at an agreed rate per cent, and its considered as a charge on the Pal Account before the ascertainment of net profits.

Where their capital is not equal but the profits are shared equally, the partner with larger amounts of capital would otherwise be at a disadvantage.

Again, where their capitals are equal but the profits are shared in unequal proportions the partner taking the largest share of profits would otherwise get an undue benefit over the others and the adjustment in regard to interest on capital will tend to lessen the inequality.

Interest on Drawings

Where interest is allowed on capital, its desirable that interest should also be charged on drawings by mutual agreement in order that accounts of the partners may be equitably adjusted otherwise. The question of interest on drawings or capital is purely a matter of agreement between the partners and the partnership accounts will have to be prepared with due regard to the terms and conditions of such agreement, if there exists any.

Partners salaries:

A frequently happens that one of the partners may be devoting his entire time to the business whereas the others may not, and under such circumstances, it is usual to allow the former an agreed salary before ascertainment of net profits. The practice of allowing salary usually obtains in a firm where there are junior partners with hardly any capital contribution and who take a very small share of the profits and yet who devote the whole of their time and energy to the business.

Fixed and Fluctuating Capital Accounts

During a year, a partner withdraws money for his private use; at the end of the year he is credited with interest on his capital, salary due to him, share of his profit and debited with interest on his drawings (all depending on partnerships deed). If entries for all these are passed through the capital accounts the end capital will be different each year and therefore indicate each year.

In some firms, these entries are passed through a separate current account or drawings account. The capital account shows a constant figure. If this is the arrangement capital is fixed. Balances of both capital and current accounts are shown in the balance sheet each year. If the current account of a partner shows a debit balance it will appear on the asset side of the balance sheet and , if it shows a credit balance, it will appear on the liability side.

In the following illustrations , it is proposed to show the effect of charging interest on capital on final figures of profit entitlement and accounting procedures in the fixed and fluctuating methods.

Illustration

Ahmed Bigala and Githu are partners, with capitals of Sh. 40,000 , Sh 25,000 and Sh. 5000 respectively and shared profits and losses equally. The net profit for the year 1999, before charging interest on capital amounted to sh. 27,000. Show the amount of each partners gain from the firm

If not interest is calculated on the capital

Where 5% interest on capital is brought into account before adjustment of profit.

(a) If no interest is calculated:

Ahmed = $\frac{1}{3}$ of Sh. 27,000 = Sh. 9000

Bigala = 1/3 of Sh. 27,000 = Sh. 9000
 Githu = 1/3 of Sh. 27,000 = Sh. 9000

= Sh. 27,000

(b) Where interest on capital is calculated prior to division of profits.

Profit and Loss Account for the year ended 31st December 1999			
Dr			Cr
	Sh		Shs
Interest on capital		Balance b/f	27,000
Ahmed's 2000			
Bigala's 750			
Githu's <u>250</u>	3,000		
Net profit to capital			
Accounts			
Ahmed: 1/3 8000			
Bigala: 1/3 8000			
Githu: 1/3 8000	24,000		
	<u>27,000</u>		<u>27,000</u>

Profits earned by each partner in the second case:-

	Interest	Profit	Total
Ahmed	2000	8000	10,000
Bigala	750	8000	8750
Githu	250	8000	8250
	<u>3000</u>	<u>24000</u>	<u>27000</u>

(Note: students should not the difference in amounts)

Illustration 2

Ahmed, Bigala and Githu are partners with capital of Sh. 20,000 each and share profits in proportion of $\frac{1}{2}$, $\frac{3}{8}$ th and $\frac{1}{8}$ th . The net profit for the year 1997, before calculating interest on capital amounted to Sh. 27,000. Show the amount of each partners gain from the firm.

Of interest on capital is ignored

Of 5% interest on capital is calculated before adjustments of profits.

Answer

Where interest on capital is ignored

Ahmed- $\frac{1}{2}$ of shs. 27,000 = sh. 13,500
Bigala – $\frac{3}{8}$ of sh. 27,000 = sh. 10,125
Githu - $\frac{1}{8}$ of shs. 27,000 = sh. 3,375
= sh. 27,000

Where interest on capital is calculated:-

Dr Profit and Loss Account for the year ended 31st December, 1967

Interest on 5% on		Sh.	Balance b/f	Sh.
Ahmed's capital	1000			27,000
Bigala's capital	1000			
Githu's capital	<u>1000</u>	3000		
Net profit to				
Ahmed's capital A/c	12000			
Bigala's Capital A/C	9000			
Githu's Capital A/C	<u>3000</u>	24,000		
		<u>27,000</u>		<u>27,000</u>

The profits earned by each partner will be as follows:

	Interest Shs.	Profit Shs.	Total Shs.
Ahmed	1000	12000	13000
Bigala	1000	9000	10000
Githu	1000	3000	4000
			<u>27000</u>

(Note: Students should note the difference in amounts in the two cases).

Ogola and Osewe are partners sharing profits in proportions of 7/10th, and 3/10th with capitals of shs. 15,000 and sh. 10,000 respectively. 5% interest was agreed to be calculated on the capital of each partner and Osewe to be allowed on annual salary of sh. 2400 which has not been withdrawn during the year 1999. Ogola withdrew shs. 1200 and Osewe shs. 2000 in anticipation of profits. The profits for the year prior to calculation of interest on capital, but after charging Osewe's salary amounted to Sh. 8000. A provision of 7 1/2% of this amount is to be made in respect of commission to the manager. Show the partner's accounts.

Where the capitals have been agreed to be fixed and The account showing the allocation of profits.

Dr	Ogolas Capital Account, 1999	Cr
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Dr	Ogola's Drawings Account, 1999	Cr
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Osewe's Capital Account , 1999

Date	Particulars	Amount (shs)	Date	Particulars	Amount (sh)
Dec 31	Drawings A/C	2000	Jan 1	Balance b/f	1000
	Balance c/d	12745		Salary	2400
				Interest	500
				Profit and loss	
				Appreciation	1845
				A/C	14745
		14745	Jan 2000	Balance b/d	12745

Dr Osewe's Drawings Account			Cr		
Date 1999	Particulars	Amount Shs	Date 1999	Particulars	Amount Shs
Dec 31	Bank	2000	Dec 31	Capital A/C	
		<u>2000</u>		Transfer	2000
					<u>2000</u>

Where the capitals are fixed

Dr Ogola's capital Account			Cr		
Date 1999	Particulars	Amount Shs	Date 1999	Particulars	Amount Shs
Dec 31	Bal c/d	15000	Jan 1	Balance b/f	15000
		<u>15000</u>			15000
		<u>15000</u>	Jan, 2000	Balance b/d	15000

Dr Ogola's Current Account			Cr		
Date 1999	Particulars	Amount Shs	Date 1999	Particulars	Amount Shs

Dec 31	Bank	1200	Dec 31	Interest on capital	<u>750</u>
	Balance c/d	3855		Profit a loss Appropriation A/c	<u>4305</u>
		<u>5055</u>			5055
			Jan1,2000	Balance b/d	<u>3855</u>

Dr			Osewe's Current Account			Cr		
Date 1999	Particulars	Amount Shs	Date 1999	Particulars	Amount Shs			
Dec 31	Bank	2000	Dec 31	Salary	2400			
“	Balance c/d	2745		Interest on capital	500			
		<u>4745</u>	Jan 1, 2000	Pal Appr. A/C	1845			
					<u>4745</u>			
				Balance b/d	2745			

Osewe's Capital Account

Date 1999	Particulars	Amount Shs	Date 1999	Particulars	Amount shs
Dec 31	Balance c/d	10,000	Dec 31	Balance b/f	10000
		<u>10,000</u>			<u>10,000</u>
			Jan 1, 2000	Bal b/d	10,000

Dr Profit and Loss Appropriation Account Cr

7 ½ Commission manager	600	Profit and loss account	8000
Interest:			
Ogola's capital	750		
Osewe's capital	500		
Net profit transferred			
To partner's capital A/C			
Ogola 7/10	4305		
Osewe 3/10	1845		
	<u>8000</u>		<u>8000</u>

PROBLEMS

- 1.To what extent can a partner bind the firm and his other partners by his acts?
- 2.State the principal clauses which should be incorporated in a partnership deed.
3. What are the rights and duties of partners?
4. Discuss fully the question of interest on the capital and drawings of partners.
- 5.What do you mean by the term fixed and fluctuating capitals of partners?
- 6.On 1st January 1995, Mutinda and Gathie entered into a partnership contributing sh. 20000 and sh. 15000 respectively. They share capitals in the ratio of 3:2 Gathie is allowed a salary of sh. 4000 per annum.

Interest on capitals is to be allowed at 5% per annum. Interest and drawings is to be charged at 5% per annum. During the year Mutinda withdrew sh. 3000 and Gathie sh. 6000 interest being sh. 70 and sh. 50 respectively. Profit in 1998 before the above mentioned adjustments amounted to sh. 10580. Show how the profit is to be distributed. Also show the capital accounts of Mutinda and Gathie.

If they are fluctuating If
they are fixed.

6. On 31st December 2000, the capital accounts (bearing interest at 5%) of Kiplangat, Motenje and Khayota in proportion of 4/9, 1/3 and 2/9 stood at sh. 18,000, sh. 14,000 and sh. 12000 respectively. The profit for the year amounted to sh. 7600 before allowing interest on their capital and after appropriating the remaining profit, the capital accounts of all of all the partners were to be adjusted in proportion of their shares in profits and losses, the capital of the entire firm being fixed at sh. 54,000. On this date, the cash balance stood at sh. 7000. Prepare the capital accounts, profit and loss account and the cash account showing the adjustments necessary in the case.
7. A and B have been carrying on business since 1 January 1984 and the results of their business have been as follows after allowing interest on capitals.

loss sh. 8,000
profit sh. 36,000
profit sh. 41,000
profit sh. 53,600

Capitals of partners have remained unchanged at sh. 150000 and sh. 1000,000 respectively for A and B, who shares profits and losses in the same proportion. On 1st

January 1984 C, the manager, gave a loan of sh. 25,000 at 8% interest. The interest has been regularly paid but the loan has not been paid yet, C was paid a salary of Sh. 10000 per annum. It was decided at the end of 1987 that C should be treated as a partner with effect from 1st January 1984, giving him 1/5th share of profits. His loan was to be treated as capital bearing interest at the rate of 5%. C's salary was to be Sh. 4000 p.a with effect from 1st January 1984. What entries would be necessary to adjust the matters? (treat the capitals as fixed).